Jan Wallander

Decentralisation – Why and How to Make it Work

THE HANDELSBANKEN WAY

SNS Förlag

JAN WALLANDER was born in 1920. In 1949 he took his doctor's degree in economics. For the next decade he worked as a scientist as head of a large economic research institute and associate professor at the University of Stockholm. He left the university career in 1960 when he became managing director of Sundsvallsbanken, a provincial bank in the northern part of Sweden. Ten years later he was appointed CEO of Handelsbanken, the then largest bank in Scandinavia. Subsequently he became Chairman of the Board of the bank. He retired from the bank in 1991, when he was made Honorary Chairman. He has been chairman and a member of the boards of many private and Government-owned companies.

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– WHY AND HOW TO MAKE IT WORK

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Translated by Michael Knight

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The Handelsbanken Way
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Foreword

Dr. Jan Wallander deserves to be recognized as one of the world's most visionary business leaders of the past 50 years. Not only did he transform Svenska Handelsbanken into one of the most consistently successful banks in the world, but he did it by creating a management model that was radically different. His model has endured in the Bank for more than a generation. It is also a model that others can adopt as it is right for the competitive conditions that most organizations face today.

If the transformation of the Bank had been recent you would probably not be so surprised. There have been many management books written over the past decade or so extolling the virtues of decentralization, team work, and the value of "intellectual capital". But Dr. Wallander made these changes *in the early 1970s* at a time when other leaders were building corporate empires with strategic planning departments and budgeting systems designed for tight central control. It was only in the 1980's that Jack Welch began his revolution at General Electric, and it is only now that many other leaders are beginning to really understand what Dr. Wallander has achieved.

At Handelsbanken Dr. Wallander led a revolution. Not only did he abandon annual plans and budgets, he also abandoned all long-term and strategic planning. He stopped giving forecasts to analysts. Advertising was also stopped and the central marketing department was virtually closed. He made these changes to enable a radical devolution of responsibility and decision-making. More than 50% of all branch employees were given independent lending authority. The autonomy of the branch-offices was greatly increased and the role of central departments (after reducing the headquarter's staff by a third) was changed to one of providing services to the front line.

These were extraordinarily farsighted changes to have made in an organization that was coping with a major crisis. As Tore Browaldh, the then Chairman of the Bank informed me, not only had the Bank's profitability fallen in the late 1960s, but the Bank was also in conflict with the Central Bank of Sweden with the consequence that the CEO and other members of the top management had to leave. One of the reasons for the Bank's problems was that customers were defecting to other banks, especially to Sundsvallsbanken, a small, highly profitable regional bank in the North of Sweden, run by Dr. Wallander. Tore Browaldh had no hesitation in inviting Dr. Wallander to become the new CEO of Handelsbanken. But the appointment had strings attached to it. An important condition of acceptance was that Dr. Wallander should have a clear mandate to unleash his management ideas on the Bank. This was agreed, and the shareholders have good reason to be grateful!

Since devolving real power to its frontline people over 30 years ago, the Bank has outperformed its Nordic rivals on just about every measure one can think of, including return on equity, total shareholder return, earnings per share, cost-to-income ratio, and customer satisfaction. Handelsbanken is now consistently one of the world's most cost-efficient banks, achieving a cost-to-income ratio of 45 percent in 2001 (compared with over 60 percent for most international banks). It also has exceptionally low credit losses, largely on account of the bank's policy of devolving credit responsibility to frontline people.

The origin of my interest in Dr. Wallander's work at Handelsbanken dates back to 1993 when I participated in a project to find ways to overcome the long recognized problems of budgeting. I had held the view that budgeting was fundamentally flawed and believed that in today's conditions the solution was not "better budgeting", but rather abandoning it entirely and building an alternative management model. But I was not aware at that time of any companies that had done this. This led eventually to the establishment of the Beyond Budgeting Round Table (www.bbrt.org) to undertake research into organizations that had abandoned budgeting. The BBRT has been funded to date by over 60 companies, mostly large European multi-nationals, and its work continues today. Over a five-year period the BBRT has examined many different companies in different countries around the world. These had either abandoned budgeting or in other ways radically changed their management models. What we learned was that it is not budgets as such, but the central control mindset and what we call the "fixed performance contract" that are the root causes of the problems. These have to be broken, as completely as Dr. Wallander achieved at Handelsbanken, to enable devolution to be progressively introduced. The results of this work are set out in a recent book (written with co-author Jeremy Hope) *"Beyond Budgeting – How managers can break free from the annual performance trap".*

The cases have been our main source of new learning and inspiration. Behind each lay a management philosophy. Our real aim in making visits to them was to understand what this was. We detected several independent strands of philosophy that have contributed much to our understanding. But our greatest inspiration for beyond budgeting and radical devolution has been the philosophy of Dr. Wallander.

When we wrote our first case report on the Handelsbanken model, we described it as "advanced." After reading the draft, Dr. Wallander called us into his office to tell us we had got it wrong. The Handelsbanken model, he said, isn't advanced: *It's* *"simple"*. Then we began to realize what he meant. Organizations used to be smaller, more intimate places where people trusted each other to do what was in the best interests of the business. But over the decades, layers of controls (including budgets) have evolved to make people comply with rigid rules and regulations. These have gradually become more and more intrusive. And as competitive pressures have grown ever stronger, management has pressed the model harder. The result has been more time spent in internal negotiations, more parochial attitudes, and more value destroying gaming. *Simplicity* and *speed* go together in the same way as *budgets* and *controls*. Yet they reflect fundamentally different philosophies of how a business should be managed in the new economy.

The clues to Handelsbanken's exemplary cost performance can be found not in the use of modern management tools (though it used activity-based costing principles long before they were developed elsewhere) but in the management model itself. A flat, simple hierarchy with few controllers; well-trained staff; no budgets to act as barriers to cost reduction; and a few simple-to-understand measures–these are all factors that contribute to maintaining a simple organization and a low cost base. In other words, responsible people with the right information don't need much support. The Handelsbanken management model introduced by Dr. Wallander is predicated on the belief that the only sustainable competitive advantage available to a firm in a fast-changing world (especially in a service business) lies with its *people*–especially their creativity, insights, and judgment–a model in vivid contrast to the numbers-driven alternative so prevalent elsewhere.

While we found that many of our cases had made some progress towards this end, few had embraced the philosophy fully. The model we saw at Handelsbanken is more coherent and mature than any we have seen elsewhere. What most of the others lacked was a clear philosophy to guide them through "the revolution". This book by Dr. Wallander, based on his experience of 50 years in business and the revolution he created in Handelsbanken, provides the clarity that is so badly needed. We are delighted that he has translated his book (written first in Swedish) into English, as it will now become accessible to a much wider audience. His work will be an inspiration for many well into the 21st century as corporations continue the struggle to break free from centralized control and empower their people. It is a management philosophy that can release the full potential of the people in any corporation, because it is *in accordance with human nature, not against it.*

Robin Fraser, Director,
Beyond Budgeting Round Table
14 February 2003

1. Introduction

This is a book about the principles for leading and organising companies. The starting point is the guidelines and ideas that were formulated in the summer of 1970 and which began to come into operation at Svenska Handelsbanken (SHB) during the spring of the same year. These fundamental principles have been applied since then in the Bank. This means that they have set their mark on its work for more than 30 years and in greatly varying external circumstances.

During the 1970s and into the early 1980s the work of banks was subject to far-reaching government regulations that controlled their activities. These regulations had generally speaking been abolished by the mid-1980s, so a free market was opened up, resulting in broad expansion and increased competition between the banks and between them and other actors on the financial market – competition that became more and more international. This expansion was brought to an end in 1990 by the deep crisis that hit Swedish banks and banks in other countries as well and which led to all the major Swedish banks except one being forced to turn to the government to discuss rescue operations. The exception was Svenska Handelsbanken. At the same time as market conditions were changing there were also great changes in banking work as a result of computerisation and the arrival of the Internet.

As far as Handelsbanken is concerned, its operations have expanded greatly and it has built up a branch network that covers all the Scandinavian countries, while the earlier activities outside Scandinavia have changed course. Other significant changes are the development of a live insurance business, the take-over of a major occupational pension system (SPP) and the acquisition of an extensive building society (Stadshypotek).

Thus the conditions governing the Bank's activities have undergone great and dramatic changes since 1970. The ideas that were formulated then have, on the other hand, thereafter formed the basis of its work and the results of the bank have consistently been better than the average of the other banks with which Handelsbanken competed. As a rule it has led the profitability league, with one year as number two, and another as number three.[1] The ideas – the Handelsbanken model – have thus proved to be effective for a very long time and under greatly varying conditions.

Some ten years after we had completely changed the organisation and "philosophy" of the bank I wrote two articles about what we had done. What above all aroused interest was the fact that we abolished budgeting in the Bank as early as 1970. I then found out what it feels like to have aroused general indignation. We had evidently rejected a fundamental dogma in economic doctrine, one that was practised by all well-organised companies and which formed a central part of the teaching of economics at business schools and other educational establishments. The critics unanimously declared that we were totally wrong and that a company run in this

[1] Various international comparisons show that outsiders also judged the Bank to have been very successful. Such comparisons are always open to question. However, all the studies that I know of indicate that the Bank is top of the league, especially with regard to low costs. In the spring of 2002 the English Board of Trade and Industry published a report on Europe's 300 leading companies according to Value Added. The companies were assessed for VA/employee and VA/costs. In the bank group Handelsbanken took a close second place according to the first criterion and a clear first place according to the other criterion. In most cases the other companies in this report show good figures for either the one or the other.

way would face a dismal future. The fact that we had in fact managed pretty well up to then could only be ascribed to our having lived under the protection of the Bank of Sweden's rigorous regulations. Company managers, researchers and professors at universities and business schools were in absolute agreement and no one had any intention at all of following our example. I had set a collision course with "the budget bureaucracy" and been bold enough to question the value and point of its work.

Fifteen years later I described in greater detail in a book entitled "The Budget – an Unnecessary Evil" why we had abolished budgets and how, in our experience, it was possible to solve various steering problems. The situation was now somewhat different. Critical voices had been raised and the opposition had begun to crumble. There were examples of companies that had started to use steering models similar to our own. The general criticism of budgeting focused on the high costs of budget work and the fact that budget control had not adapted to the changed conditions in business life. The wind has thus shifted.

Much of the interest in what we have done at Handelsbanken has thus focused on the fact that we work without a budget. However, this is not the most essential part of our model.

The basic idea in the Handelsbanken model is *decentralisation* If the issues are studied from this viewpoint, the abolition of budgets emerges as a mere detail, something simple and obvious; one of several aspects of the basic idea. It is this basic idea that is the subject of the present book.

For most people who are engaged in business, however, the abolition of budgets seems anything but obvious. Very few, if any, of them are willing to take a sledgehammer and do away with budgeting. Yet the abolition of budgeting is vital for the acceptance of the idea of decentralisation. Consequently it seems necessary to describe here in some detail the content, shortcomings and fatal consequences of budget steering.

2. Human nature has not changed

After millions of years of evolution, about 200,000 years ago there appeared on the African savannah the first modern human beings. They differed from other members of the ape family not only by their upright stance but above all by their significantly greater brain capacity which allowed abstract thinking and the ability to express these thoughts in speech.

And so they began their successful conquest of the world; some 40,000 years ago they invaded Europe and about 30,000 years ago they created the cave paintings of southern France. Only 4,000-5,000 years ago they had written down the saga of Gilgamesh in cuneiform and built the pyramids and soon after that they were busy creating Greek and Roman culture and building a great empire round the Mediterranean.

Inside our skulls there are hundreds of billions of nerve cells that are in constant communication with each other by means of various signal substances in an extraordinarily complicated manner, much more complicated than the most advanced computer. But the brains we have today are not one iota different from the brains of the Roman legionaries who, led by Julius Caesar, fought their way through the forests of Gaul, crossed the English Channel and founded a Roman province that lasted almost 400 years. And the hands that wrote down Plato's dialogues and the ancient Greek dramas and swung the Viking battle-axes were not one iota different from the hands that log computers onto the Internet today. Nor can the brains of our leading present-day writers produce anything to excel what their likes produced in the land of the Virgin Queen. And Michelangelo was certainly no primitive forerunner of Picasso.

The fundamental problem one is faced with when organising a company or public activities is how to get a number of people to co-operate with each other in a harmonious way and move towards an established goal with enjoyment, commitment and even enthusiasm. The better one succeeds in these matters, the better the result will be. These are the same problems that leaders have always faced, whether on a limited, local plane or as players on a historic world stage. As when Alexander the Great managed to lead his Greek army all the way to India or when Nelson led his men to victory at Trafalgar. Basically the problem is the same at all times because the people they have to lead are human beings and, biologically speaking, no different now from what they were a thousand years ago.

Admittedly they now have, thanks to education and training, other skills than they had only a hundred or fifty years ago; and it is true that the social and cultural environment in which they operate is very different, but their basic construction is just the same.

However, for a company the task is not merely to produce something as well and as effectively as possible, but also to find some customers who are willing to buy the product at a price that covers the costs. It is the same for politicians who want to win the next election. But the people who are going to buy the products and vote in the election are basically the same as they were a thousand years ago.

This may seem self-evident but it is vital to bear it in mind and not imagine that the problems one faces when leading a company are all that radically different from the old days and consequently require quite different solutions. That is not the case, since the foundation of the structure, the human beings, is basically the same. On the other hand, one must realise that the social, cultural and technical environment in which we operate is changing all the time and with it the conditions for leadership. There is a big difference between successfully leading people who have been shaped by growing up among Romans, cannibals, Quakers or dwellers in an Israeli kibbutz.

People's demand for an organisation

Presuming that the human species of mammal has not changed its biological nature for thousands of years, it is natural to conclude that there are certain basic demands that these creatures make of the organisation they work in, if that organisation is to function well. What, then, are the demands and needs that people have and what do they mean for the organisation they work in? It seems reasonable to suppose that certain types of organisation are in harmony with human nature while others are not, and in fact fight against it. In the latter case the results will almost certainly be less good.

A company manager who turns to science – psychologists and other behavioural scientists – for an answer to these questions runs the risk, however, of becoming confused rather than enlightened. The problem is that the science of human behaviour and motivation does not offer a firm foundation of knowledge on which researchers can build, continuing from what their predecessors have managed successfully to establish. Instead it presents a picture of mutually hostile schools and approaches.

On the one hand there are those who use scientific methods to study the brain and clarify its functions and the interaction between its various parts and between the brain cells. There has been significant progress in this field during recent years, which has led to considerable advances in the treatment of a variety of mental illnesses. The main focus is on medication and other types of medical treatment. However, these results give hardly any guidance regarding the issues that a company leader faces.

In contrast, there are the large groups of psychologists who use dialogue and introspection, that is, pondering on one's own behaviour and its motivations, to try to get a picture of the human mind. A prominent and pioneering figure here was Sigmund Freud. Psychologists can provide a good deal of information about fundamental human instincts and needs. What they actually mean, however, varies a great deal from school to school, but there are certain common features that are distinguishable, features that are in agreement with the practical experience many people have had. The main treatment in this case is conversational therapy in various forms.

However, there are evident connections between the two main approaches. Experiences, conversation and the like lead to measurable activity in the brain. Thus dialogue, just like medical treatment, can in principle result in the reactions in the brain that are desirable.

Steering methods

It is to be hoped that company leaders have a clear picture of the direction in which they want to go, what they should focus on and – not least – what they should not devote their energy to. How will they get their personnel to move in this direction? Ever since the early 20th century American psychologists have concentrated on such questions; in other words, what is it that influences human behaviour and how can it be changed? The American psychologist John B. Watson, the father of behaviourism, is a prominent figure in this context.

The simple and convenient model for guidance is to reward people when they do what is "right" and to respond with a negative reaction when they "make a mistake". This is the model that has long been used with great success to train other mammals like horses and dogs. There is, however, no proper symmetry between the effects of positive and negative reactions to a certain type of behaviour. There does not appear to be any great risk in giving too much praise and too much encouragement, even though many managers have such misgivings and are therefore restrictive in their praise. Of course it is conceivable that people might become reckless, careless and over-confident if they got nothing but praise and encouragement, or that over-use of positive reactions might make them lose their value. For me personally that risk has always seemed minimal. On the other hand, I have often seen how criticism affects people negatively, even though the person who offers criticism considers that he or she has been very restrained. There is a great risk that people who are criticised get depressed and even frightened and become excessively cautious. They lose interest and the ability to take the initiative. It is therefore a natural aim to make any negative reaction seem objective and fair and not personal. One good method is to present performance figures for units and individuals openly, without any moralising comments, so that they can make comparisons with each other. Comparative material of this kind has a very strong guiding effect in practice.

Very often it is enough to guide people by giving only praise and withholding criticism. I had at one time a young, competent and very talented woman assistant whose job was to look after important female clients. They were elderly ladies who came into the bank dressed in fur coats and fur-lined overshoes to discuss how they should invest their money. This was around 1970 and the young assistant came from an upper-class family and had, as was common at that time, radical left-wing sympathies. These did not affect her work, but they did affect her dress, which was definitely out of tone with the grey, conservative suit or dress that was then considered suitable for a bank clerk. It was obvious that if I said straight out to her that she should dress more suitably, I would be met with violent protests against such reactionary attempts to interfere with her personal integrity. There would be an unpleasant scene that might easily end in a parting of our ways, which I wanted to avoid since she was so competent at her job. So I began instead to compliment her systematically for the attractive colour of her skirt when she happened to appear in one; and I said I was glad to see she had found a smart winter coat instead of the duffel coat from the army surplus store which she otherwise used to wear. This had an immediate effect; it was not long before she was looking and behaving in a way that would create that feeling of confidence in her clients that we hoped they would feel when they did their bank business.

Reward, that is, positive reactions from one's superior, can take many forms. It can be quite subtle, and there is a well-known example of this. It is a series of experiments carried out by American sociologists and business economists during the 1920s and 1930s at a lamp factory. The results were of great significance for the development of organisational research and attitudes to people working with machines or on assembly lines. It is known in the literature as the Hawthorne effect. The participants in the experiment were young girls who worked on an assembly line producing electric light bulbs. The researchers were interested in finding out if productivity could be raised by improving the work environment in various ways. The lighting was made stronger, the ventilation was improved, the lamp parts were placed on the assembly line in different ways to make it easier for the girls to work, better seating was provided and so on and so forth. And productivity increased all the time. When as much had been done as was thought to be possible and the next step was to introduce all these improvements into the whole factory, the chief researcher had a brilliant idea. The group of girls was kept together and put back to square one, that is, all the improvements that had been made were removed. The result was not that productivity fell but that it continued to rise. The researchers realised then that the important thing they had done was not to improve the lighting etc, but to select the girls, form them into a group and make them the object of their interest and encouragement. They had been "seen", to use a modern expression. Their "reward centres had received positive impulses", as much later brain researchers would have expressed it.

It is often not particularly difficult to influence people's external behaviour. But there is no certainty that a change in external behaviour will lead to a change in internal behaviour, or, in other words, that a person will not only act as one wishes but also want to act in that way. Not until that stage has been reached has one been really successful.

If a manager wants to be able to steer his or her business successfully, he or she will need to understand what demands the work makes and what can be achieved practically. Insight and consideration are self-evident requirements for a manager. The effects and acceptance of steering systems, however, are closely linked with the cultural, religious and social environments in which they are used. The educational methods that were acceptable and effective when I was at school in the thirties would in many cases neither be accepted nor function in schools today. On the other hand, the teachers I had who showed human insight and consideration also got the best results.

In the same way the steering methods that seemed natural to English sailors who were press-ganged into naval service during the Napoleonic wars for a shilling and a glass of grog would be unthinkable today. As the biographical literature shows, Nelson's successes were partly due to the fact that his attitude towards his men was totally different from what was normal at that time. The consideration and encouragement he gave them was highly unusual.

The Duke of Wellington, who defeated Napoleon, also showed unusual insight and consideration. When the Duke was a young subaltern he surprised his fellow officers by weighing his men with and without their equipment – overcoat, ammunition, kit and weapons. Wellington wanted to understand his profession and had realised that if one required men to march fast and far and cursed them for being tired, it was wise to know what burden they had to carry. Common sense was a quality that Wellington possessed in full. Common sense is, in fact, not very common but something a good leader should have.[2]

Steering by means of positive signals is one of the central concepts of the Handelsbanken "philosophy". We usually express it by saying that it is a bank manager's main job to make sure that the people who work in his or her office think it is a pleasure to go to work every morning. Of course, on a grey November morning this is not easy to achieve, but it is the goal that matters. If managers tell themselves that this is what is expected of them, they will be forced to consider all the time how they should act in order to attain that goal.

However, believing that praise and encouragement combined with insight and consideration should be the main method of steering people in an organisation does not give any guidance as to what the organisation should look like. But oughtn't it to be just as easy to work in this way in any of the various types of organisation that are described in the current organisation handbooks? The answer is no, because certain types of organisation are better suited to this kind of steering system than others.

Goals are needed

If one is to give one's employees praise or the opposite in a meaningful way, there has to be a goal towards which they should strive, a goal that clarifies the point of their work, not

[2] A young male reader of my manuscript wondered whether my use of military examples might upset my women readers and make me seem more macho than I would like. There is that risk, but on the other hand our male-dominated society has not, for natural reasons, provided many good female examples so far.

merely now but in the long term as well. Of course, if employees are to commit themselves to this goal, they will need to see it not only as clear, understandable and possible but also as meaningful. And if this goal is to be effective, the employees must also clearly see how their own efforts will affect the chances of attaining it. This last requirement is crucial for choosing the right type of organisation.

Determining and formulating a goal is often thought to be a very complicated business. The complications lie in the fact that there may well be a conflict between long and short-term goals. What is good in the short term is not always good in the long term and vice versa. For example, if the goal is to increase sales volume it may after a while turn out that although this goal has been attained, the result has also been to gain customers who cause major losses. If the goal is to increase production, it is important to make sure that the result is not poor quality and a large number of complaints or a high level of rejected goods. Similarly there may be a conflict between the goals of different departments in a company. Business economists have devoted a great deal of energy to identifying what sorts of goal conflicts can occur in a company and discussing how to solve them. Personally I find some of these discussions rather airy-fairy. They seem to presume that managers take their own steering systems so seriously that they stop using their common sense.

Commitment and enjoyment

If the people who work in an organisation feel that they have a clear and attainable goal and a goal that seems meaningful to them, then the managers have done very well.

It is also obvious that, if employees are to feel satisfaction with their work, they must get a reasonable salary, enough to enable them to maintain what they consider to be a reasonable standard of living. For someone like myself who grew up at a time when there was no television, when having an automatic washing machine, not to speak of a dish-washer, was a dream for most people and having a car of one's own was reserved for an exclusive minority, it is evident that the question of income is a matter of relative, not absolute values.

Sweden has long since passed the stage where income is not enough to keep the wolf from the door; no one need starve or lack a roof over their head. But this does not mean that there are no cases – and there probably always will be cases – of real need for whom the social welfare safety net does not work.

Thus when we feel dissatisfied with the salary we get, it is not primarily because it is not large enough to cover elementary needs but because we consider it does not give us a "reasonable standard" according to our situation; or because it is not in reasonable proportion to what other people get who, in our opinion, do work that is not more demanding, skilled or important than ours; or because they have been given a bigger pay rise than us. This is the background against which salary levels will be judged as "fair". As pay statistics have gradually become more comprehensive and more detailed, it has also become easier to make comparisons – and to feel dissatisfied. Nevertheless, statistics form a natural basis for union negotiations.

This is the picture along the whole income scale, from the lowest to the highest. Publication in the mass media of the very high levels of payment in the form of salaries and bonuses that company leaders and specialists receive not only raises the demands from other employees in the companies but also has a similar effect on the group with the really high incomes.

"His company is smaller than mine and makes less profit, so I, as Managing Director, should have a higher salary than him."

Anyone who has had the task of setting the terms of employment for members of various company managements will know what an extremely heightening effect publication can have. It might be thought that publicity and the ensuing criticism would have a moderating effect, but in my experience, and generally speaking, the opposite is the case. There is a clear difference here from the days in the not too distant past when information about pay was confidential – which is not to say that it would be possible or even desirable to go back to the old system.

Thus, achieving a salary scale that is perceived by the employees to be "fair and reasonable" is an important but also complex task to which boards of directors, personnel departments and union organisations devote much time and energy.

But money is not everything – far from it. As a young researcher in the early 1950s I helped to carry out in various industries what were called "wellbeing investigations". Their aim was to try to describe what – apart from money – made people pleased or not pleased with their situation. At that time the main interest was in shortcomings in the external environment: dust, dirt, bad working postures and the like. Since then putting such problems to rights has become a matter of course. Nowadays the interest of researchers is focused more on the "internal environment". As various investigations have shown, such less easily defined conditions play a decisive role for the feeling of satisfaction that people have in their work. Relations to the management and colleagues at work are of the greatest significance.

We are flock animals. It is important to us to belong to a group, to share experiences, just as it is very painful for us not to be able to share them and perhaps even be rejected from the group and be mobbed. Our relations to the group can also involve tension and conflict because we all have, to varying degrees, the desire to develop, to take the initiative, to compete and to win. Thus, on the one hand we have a primary need of harmonious relations to others in the group and on the other hand a desire for self-fulfilment – and this can lead to conflicts.

3. From theory to practice

In the previous chapter I have briefly summarised the usual conceptions of human nature that are to be found in books on psychology and in one's own experience, and have described the demands that people make of the organisation they work in. What, then, does this have to tell us about the best way to organise and lead a company?

If you read the textbooks on organisational theory that those who intend to be economists or engineers study, you will usually find very little or nothing in them about the concepts of human nature that the authors have. A self-evident and usually tacit starting point for these writers seems to be that the individuals who are to fit into the organisation plan are selfish creatures that are motivated by self-interest and capable of making rational choices. In accordance with mathematical and statistical principles they can, according to the experts, weigh up the consequences for themselves of various decisions and probabilities in a remarkably competent way. In other words, they are specimens of "economic man".

These books describe and try to systematise the types of organisation that have developed in private and public companies and administrations. They do so with the aid of diagrams in which different functions are symbolised by boxes which, in turn, are connected with each other by lines going upwards, downwards or sideways. These lines are unbroken to indicate that a unit is superordinate, subordinate or collateral with other units. Other lines may be broken to indicate that advice, information or services are provided for other units.

Two common types are division or line organisations, in which the classification is geographical or according to various types of production such as paper manufacturing and sawn-wood products; and functional organisations, in which the classification is according to function, such as purchasing, marketing or production. A third type is matrix organisations, which can be described as a mixture of the other two types. In this case the unit managers will in turn have several superiors.

Sometimes, but far from always, these diagrams are complemented by a description of the responsibilities and powers held by the people who operate in the various boxes. The more responsibility and power is allocated to those in the boxes at the top of the diagram, the more centralised the organisation. And the more that is moved down to the bottom boxes, the more decentralised the organisation.

Each unit in the organisation is presumed to work towards developing its own activities and maximising its profit. This can result in their coming into conflict with each other, trying to pass costs on to each other, withholding information and the like. The literature describes the problems of this kind that may arise in various types of organisation and how they can be avoided or dealt with.

As a rule it is knowledge of this kind based on a simplistic, materialistic view of mankind that economists and technologists have when they set out in life to put their education into practice. However, to an increasing extent business economists have begun to analyse their problems with a more nuanced picture of the forces that motivate people's behaviour. A starting point here were the studies American psychologists launched in the 1920s, including the Hawthorne experiments described above.

This line of research helped to change attitudes so that in the 1950s production workers began to be looked upon not as some kind of robot that had to be directed and controlled by the assembly line. Instead, as the Harward researcher Douglas McGregor expressed it, they were "human resources" that wanted to do a good job and be productive. It was important for companies to utilise these resources well.

Another researcher, Abraham Maslow, constructed a hierarchy of needs, which is often referred to in the business literature. He proposed that fundamental human needs could be ranked hierarchically from the most basic to those that came in third, fourth or fifth place for the individual.

His hierarchy had the following steps:

1. Water, food – physical needs
2. Security
3. Affiliation (a sense of belonging) and affection
4. Self-esteem – the need for appreciation
5. Self-fulfilment

McGregor added another dimension to the steps by emphasising that the degree of needs satisfaction at various levels for employees is also determined by the attitude their superiors have to them. That is, whether they are seen in principle as lazy and uninterested and therefore in need of direction and control in detail, or as individuals whose fundamental needs it is important for the organisation to satisfy and human beings who need appreciation for their efforts.

A Swedish economist, Sune Carlson, was a pioneer in this field with his studies of the way in which Swedish company leaders actually worked and the driving forces that motivated them. His research was based on interviews and questionnaires. In recent years Professor Sten Jönsson and his colleagues at the Gothenburg School of Economics have carried out similar field studies. At the Stockholm School of Economics Professors Sven Erik Sjöstrand and Nils Brunsson have carried out investigations in this field using a sociological and psychological approach. At Lund Professor Mats Alvesson has pursued a similar line of study.

The common factor in most of the research business economists are carrying out at present seems to be management research, that is, research into the problems, actions, needs and motives of management. The term management is used here in the broad meaning of management work at all levels in a company.

Conclusions

The discussion so far is based on the concept that all human beings have certain fundamental needs and that these are no different today than they were 2,000 years ago.

Important needs of this kind, apart from the material ones, are the need to feel a sense of belonging, to get encouragement and to be "seen". There is also the need to feel free to develop, take the initiative and get increased responsibility. Other expressions that the researchers use when they describe the motivation behind people's actions are the need for identity and meaning and the importance of organisational culture. In times of unemployment there also emerges what in our culture gives a person a place in society, namely having a job. Work is in itself good, a truth that Max Weber highlighted in his research almost a hundred years ago.

Does the above lead to the conclusion that a certain type of organisation, for example line organisation or functional organisation, is superior to others? The answer is probably no. However, it is of decisive importance how much decision-making is placed in the various squares in the diagrams, or in other words, it depends on the degree of centralisation.

In my opinion research up to now and what I have described in the above suggest that there are certain fundamental features that should characterise an organisation in which the aim is to attain a high level of needs satisfaction. In the first place the primary reporting units should be small and decision-making and responsibility should be decentralised as far as is possible from a practical point of view. It is difficult to imagine that it would be possible to meet the above-described human needs in a strictly centralised organisation. In an organisation of that type it is up to the central management to work out what needs to be done and how to do it, and for the line to carry out those decisions without any troublesome arguments.

For the sake of completeness it should be added that both business economists and my discussion tacitly assume that the whole point of a company's activities is to achieve as good a financial result as possible. This is not, of course, something self-evident. Instead, the point might be to give the people who work in an organisation as rich a life as possible – but then we are in a totally different kind of society than our own.

When, in 1970, I was faced with the task of rescuing Handelsbanken from the crisis it had fallen into, I did not seek out researchers on business economics to find out what I should do. From what I have already written it should be obvious that they do not have any simple, clear answers to give, which in itself is only natural. The reality that social scientists study is so complicated that the way to practical conclusions is a very long and difficult one.

This does not mean that their results and views were of no significance. On the other hand, one should not imagine that business managers are in the habit of reading research reports and applying them. As a rule they have neither the time nor the interest nor the ability to do so. Instead, results and views slowly trickle down into public life by means of the education that future company leaders receive at universities. In this context various types of conferences and courses that company leaders attend are also important; here researchers participate as lecturers and take part in discussions to spread their findings. Since in the early 1950s I was head of an organisation, SNS, whose aim it was to bring together company leaders and university researchers, I had in this way become acquainted with the advances that management research had made.

My own doctoral thesis was also interdisciplinary in the sense that it utilised methods and approaches that were common in political economy, economic geography and sociology. Not least had I had occasion to acquaint myself with American sociological studies of the problems of working life. These insights and my own practical experience as a company manager were the starting points for solving Handelsbanken's problems. As the following chapters will show, what we did was a practical illustration of how the concepts of human needs that are described above and are to be found in the literature can be applied to a business organisation.

4. The Handelsbanken model

The starting point

Up to 1970 Handelsbanken was characterised by a geographical division that for the most part was about 50 years old. The basis of this organisation consisted of the district centres, 26 in number, under which there were local branches; on average there were some 20 of them per centre.

Since the mid-1950s, however, the Bank's policy and organisation had been under increasing influence of the latest ideas in management. These ideas came from America, which was the leader in this field, and from American banks. Their working methods had been influenced to a high degree by legislation, which, with the main exception of California, did not allow banks to have local branch offices except in very special circumstances.

The man who was entrusted with the task of introducing these new ideas was Rune Höglund. He had been an acting professor at the Stockholm School of Economics and had in the 1940s and early 1950s led the group of business managers who were associated with Sune Carlson's pioneering work referred to in the previous chapter. Höglund joined the Bank in the mid-1950s and was soon playing a central role. In the mid-1960s he became CEO.

The new ideas meant that work was started on introducing what could be called a functional organisation. In this case deposit operations were separated from loan operations. This involved splitting the old line organisation down the middle from head to foot, so to speak. A special group of salesmen – consultants – had also been created who were responsible for acquisition work, primarily for new deposits. On the deposits side mass acquisition was the dominant approach, using modern marketing methods such as advertisements, posters, direct mail and broad PR arrangements.

An important feature of any organisation is, as previously pointed out, its degree of centralisation, that is, how high up in the organisation responsibility and decision-making are placed. At Handelsbanken, as at the other Swedish commercial banks, centralisation was the key word. One of the central bodies in this connection was the Board of Management, consisting of more than 20 persons, which was located in Stockholm. This Board dealt with all decisions concerning the granting of large credits.

The Managing Director was the chairman of the Board, which in principle could decide on matters up to $ 1 million[3], which corresponds to about $ 6.5 m in the early 21st century. Matters concerning larger amounts were the responsibility of the Board of Directors insofar as they were approved by the Board of Management. The result of this system was that a very large number of credit applications were dealt with by the two Boards. Thus, during 1968 the Board of Management dealt with 1,553 applications and the Board of Directors with 869 applications. The Board of Management also made decisions concerning not only credits but a good many other matters as well, which were centralised in this body.[4]

Special instructions laid down in great detail the level at which various types of credit should be dealt with. These in-

[3] The exchange rate between SEK and US $ has varied a lot in recent years. To be on the safe side I have used the rate of SEK 10 to $1.

[4] This description is somewhat simplified. In reality the Board of Management operated in a number of forms such as the Foreign Section, the Administrative Section and so on.

structions were drawn up for one year at a time and handed in to the Bank Inspectorate for approval. At that time, as now, the Inspectorate had definite opinions about the way credit decisions should be reached. In principle it was important that decisions should be made as high up in the organisation as possible, since they imagined that the degree of competence in the decision-makers rose as their position in the hierarchy rose. They also believed that the more people were involved in making them, the better the decisions would be. The special instructions meant that it normally took about two months before a customer was given a decision.

There were several different types of ideas that forced through the increased centralisation of decision-making, both at Handelsbanken and at other banks and companies. Firstly, it was only natural to believe that someone who was higher up in the organisation would have better opportunities of seeing the whole picture and thus be able to consider every possible aspect. This approach is often expressed by claiming that, if decisions are made further down in the organisation, and the decision-makers therefore put their own, limited sphere first, the sum of all these decisions will be poorer than if the decisions were made higher up. There is also, of course, the fear that decision-makers further down in the organisation do not have the necessary competence and training. In addition, central decision-making is seen to be a necessity for achieving the advantages of large-scale operations when purchasing raw materials, for example, or in the production process. However, it is not just a matter of making decisions centrally; it is also vital that guidelines and targets are drawn up at the management level for the various operations that different parts of the organisation perform. Moreover, planning and the establishment of strategies are seen as important ingredients in modern company management. Computerisation also makes it easier to centralise operations since it is now possible in quite a different way from before to check rapidly and in detail how work is progressing, targets are being met and guidelines followed in the different parts of an organisation. The arrival of the new information technology has also made it possible, it is thought, to reduce the number of medium-level managers. With its help the Managing Director and other members of the management group can directly steer so many more people. In the case of Handelsbanken the transition to functional organisation also facilitated centralisation, because in an organisation of this type decisions affecting the various operations have to be harmonised at the highest level.

Another strong centralising factor for banking was the strict regulation of bank loans during the post-war period and up to the 1980s. The Bank of Sweden was continually demanding that the banks should reduce their granting of credits. Thus it was natural for the management to transfer the right to grant credits to the head office in order to control the situation better.

Behind the desire for centralisation lies a basic doubt about the employees' ability and a strong feeling that if they are not kept under strict control and told what to do they can go off in the wrong direction and perhaps not work as hard as they ought to.

During 1969 Handelsbanken was strongly criticised by the authorities. Their criticism was the result of the Bank's management participating in certain transactions and deals that were considered to be in conflict with the government's very strict control of currency business. This criticism hit the headlines in the mass media and led to the Managing Director and several of the managers leaving the Bank. Nor was the financial result of the Bank's activities satisfactory. This, however, was not so evident for the staff and the outside world.

Thus the Bank was facing a crisis, and to deal with the situation a new Managing Director was recruited from outside. For me this meant that I left Sundsvallsbanken, a provincial bank in the north of Sweden, and took up a new post. The management group that was formed after my arrival was to a large extent also recruited from outside. Many of its members had acquired their experience outside the world of banking.

Outlook on human nature

The organisation and the policy we developed during the 1970s were based on an outlook on human nature that I later described as follows:

"We have great confidence in our staff and great respect for what they achieve. We look upon them as sensible and competent and filled with a natural desire to do a good job. We believe that they have great potential, enthusiasm and ability to learn about new conditions, new technology and new forms of work."

This attitude to our staff corresponds closely with what has already been said about fundamental human needs and wishes. The above quotation continues:

"This is something we really mean and not just the conventional reverence for employees that is displayed in the Annual Report or at the end of the Managing Director's introduction to the Annual Report."

Most managers in Sweden would probably be willing to endorse statements like the above. If, however, one takes this attitude seriously, it will have very great and often overlooked consequences for a company's organisation. If one looks upon one's staff in this way, the logical conclusion is that they should be given the opportunities to utilise the abilities one has such faith in. Otherwise the picture that one has painted does not agree with the reality the staff will meet – which is a conflict that frustrates and disappoints them. If one is really serious, the result will be a decentralisation of decision-making in the company. Managers throughout the whole hierarchy must relinquish power to their subordinates, and this should take place from top to toe, so to say. If at the same time one bears in mind what has already been said about the need for employees to see how their own work affects the result, and if one also wants to meet their need to belong to a group they can identify with, one ends up with a strongly decentralised profit-centre organisation. And that is how Handelsbanken's present organisation can be described.

However, this approach has another consequence. In such conditions it is reasonable to presume – even though it may initially seem extremely improbable to us directors – that the local staff can help to solve the problems we are faced with. It is actually conceivable that people in small towns all over the Scandinavian countryside can produce better solutions that those we at the head office in Stockholm have managed to find. Admittedly, it seems highly unlikely, but there is always a chance and it is important for people everywhere in the company to have the opportunity, in practice and on a small scale, to prove how their solutions work.

These ideas resulted in the local branch offices in the new organisation becoming the primary profit centres. In normal cases these are units of about ten persons, but in extreme cases the units might consist of only one employee and for the very largest offices up to 40 persons. In such a case the office might be divided into smaller units. These offices were in turn brought together into eight regional banks, each with a Deputy Managing Director in charge.

Decentralising – easier said than done

Decentralisation is at the very heart of Handelsbanken's organisation model. For the reasons presented above it is, in my opinion, by far the best one from the employees' point of view. But quite apart from that it has other great advantages.

This model means getting close to the customer and being able to suit local conditions and match decisions and action to the customers' needs and wishes. Decisions are made more quickly and it is possible to test different solutions on a small scale, which can make a company more dynamic. Competitors' activities out in the field are also detected at an early stage.

Against this background one might imagine that far-reaching decentralisation would be the most common organisation model. But this is not the case. In actual fact it is very seldom that companies translate their words into deeds. Why?

In the first place it is a long and difficult process. We at Handelsbanken certainly experienced it in that way. But today we have gone a long way down the road. How far is illustrated by the fact that among all those who work in the local branches, including trainees, part-timers and the like, little more than 50%'s have the right to reach their own decisions in credit matters. This means that if you go into one of the Bank's offices, walk up to the counter and hand in an application for a loan of, say, \$ 5,000, the young man or woman who stands there will normally be able to say yes or no immediately according to his or her own judgement. It is to be hoped that the clerk does not do this but asks for a little more information to support the application and says that he or she would like to consider it and give a decision the next day. This gives him or her time to check the information and collect further details about the potential borrower.

There are words that are very positively charged; one of them is democracy, another equality and a third decentralisation. There are few people who say that they are in principle against handing over some of their power, that is, to decentralise, and would rather collect all power in their own hands, that is, centralise. However, saying that one is in favour of decentralisation is one thing, but putting it into practice is quite another. Then a great mass of reasons emerge for opposing the idea. I met the whole range of these objections in various shapes and sizes. Branch managers and managers higher up the scale had no objection to being given more power from above, but when, at the next stage, they had to hand over some of their power to employees and subordinates, they really changed their tune.

"You see, they don't have the training and qualifications for making this kind of decision."

"Maybe, but in that case it's up to you to make sure that they are given the opportunity to get the right qualifications and training."

"It's not fair to give them so much responsibility and I know that quite a lot of them would rather not have it."

"It's conceivable. But it's no argument for not giving all the other people in the office the opportunity."

"They don't have the overall view of the work that I have. They only think of their own little bit, and then things can go really wrong."

If the manager in question had been to a college of economics, he would formulate his objections in the words "There is a risk of sub-optimisation".

In theory this might be a serious objection, and we took it seriously and closely analysed the cases where such risks might possibly arise. This analysis, and above all practical experience, proved, however, that it was not a real problem.

The very same managers that had put forward objections against handing over power with such energy were strangely enough not against getting more power from above. In this case the counter-arguments were forgotten and there was no longer any hesitation.

The reason why real decentralisation is so rare and so difficult to achieve is quite simply that people who have power or have got hold of it are unwilling to hand part of it over to anyone else – a very human reaction. So if one is to succeed, one needs a firm and clear goal and one has to begin at the top. One has to begin with oneself.

The managing directors of some of Sweden's largest companies were on Handelsbanken's Central Board of Directors. They were used to discussing their company's credit matters with the Managing Director of the Bank.

"What you have said at the Board meeting about decentralisation is true enough, but you must realise that I'm used to going to the top and that's what I intend to continue doing."

"Of course you can come to me, but I won't be able to give you an answer. That decision should be made by the regional bank manager in this case. Naturally I will tell him that you have been here and ask him to contact you. But that's rather a long and awkward way round."

"But you do have a little influence, don't you?"

Then it is important not to fall for the temptation to show how clever and powerful you are and with a smile reply: "Yes, I expect they'll listen a little to me."

If one reacts like that, the game is lost and there will never be any real decentralisation. On the other hand, it has to be admitted that it took time and energy to get these powerful industrial leaders used to the idea of not having to discuss their questions with me.

And bringing about decentralisation is a very time-consuming process. In the case of Handelsbanken it took in reality about five years for us to more or less reach the goal; for some functions it took considerably longer. The reason why it took so long was not only the opposition we met; it was also because the process had to be carried out step by step in the Bank's case. And that's how it is for most companies.

A comprehensive training scheme was essential, so that the people who were given new powers really had the qualifications to manage them. In addition, a new steering system had to be developed, a system that was compatible with decentralisation.

But it is not enough just to have a firm and clear goal; the pressure must be kept up all the time. Decentralising is like pulling a rubber band. You have to hold the ends firmly, otherwise it will snap back in your face and you'll have to start all over again.

For example:

The manager of a branch has granted Mr Pettersson a credit line. This appears in the report on credits granted. The manager's superior sees this, rings up the manager and says something like this:

"I saw you've given Pettersson a credit line. But we've had quite a bit of trouble with this man elsewhere in the Bank, you know. Of course you're quite entitled to grant him this credit, but it would have been a good idea if you'd asked me about him first."

The manager tells himself that in the future he had better ring and ask first, so as to avoid trouble. And so the rubber band has snapped back.

The remedy is that superiors should be especially restrained about making contacts of this kind. It's important to keep your hands to yourself, as we say.

The other remedy is to make sure that you have a functional information system so that everyone has the information they need. Nowadays information systems are so good that the above example is no longer particularly relevant, but the temptation to stick your nose in still exists.

On the other hand, a branch manager who feels uncertain should not, of course, hesitate to discuss a problem with more experienced colleagues. But the initiative should lie with him or her.

Many managers groups say fine words about decentralisation and also claim that their organisation is decentralised. However, this is often a case of false decentralisation. This is the result if you have detailed budgets for the various units combined with controlled target figures. The freedom of action for the unit managers is extremely limited in such cases; there is not much left of their right to make decisions, which was supposed to have been decentralised. A variant of this situation is that responsibility is decentralised but not the necessary powers. This is not uncommon in public administration – and then you have ended up in the worst of all worlds.

All companies suffer from powerful forces that pull in a centralising direction. It is like water that easily and irresistibly trickles in unless you take special care to keep it out.

For example:

Even in a decentralised company central units develop and produce quite a few of the products that are marketed. The central units are, of course, eager that "their" products should be sold by the organisation, especially if these products are newly developed and meet opposition. In a bank they might be a new fund or a new type of insurance. It can be a great temptation to persuade the local units to give these products priority by changing the internal payment and debiting system. In reality the right to make decisions has thereby been cancelled. Management groups must be very alert to such developments.

The head office – a nest of opposition

The situation for managers in the line organisation of the Bank was that they were reluctantly forced to hand over power to their subordinates, but at the same time they often received new power from above. They made both a gain and a loss. It was a different matter for those who worked at the head office in Stockholm; they were losers in all respects. This, too, was where the majority of staff cuts were made. The number of employees at the head office fell by a third within a few years.

The head office was large and expansive and had long ago outgrown the large building in the centre of Stockholm, so there were advanced plans to build another head-office block nearby. There was a powerful secretariat in the head office as well as an extensive marketing department and a large personnel department. There were also departments for long-term planning and strategic planning. The accounts department contained an expanding group that was developing the budget system and a very large department that concerned itself with operating, and not least with developing the Bank's data system. There was a legal department and a multitudinous auditing department. The central administrative department was responsible for purchasing and for building and furnishing new offices, among other duties. It had its own architect and its own interior designers. This is to list just a few of the major administrative departments. Alongside them there were two large business departments, one for foreign business and one for finance and stock business with a large trustee department in Stockholm that was hoping to become a separate trustee bank.

The new organisation transferred a good many of these functions and duties to the regional banks and the branch offices. This was vital if real decentralisation was to be achieved. In some cases it was a question of closing down some operations completely or of reducing them greatly.

This was an operation that was certainly not carried out without strong opposition. It was a matter not only of transferring or closing down functions but also of radically changing attitudes and approaches at the head office. Their way of looking at people outside the head office had to be altered radically.

The staff of the administrative departments were to a large extent university graduates. They were economists or lawyers, and in the foreign business section they usually had a background of studies and practical experience abroad.

In contrast, a university degree was rare among those who worked at the branch offices. However, the managers had usually received extensive in-service training, whose final stage was "the higher bank course". This was at university level but did not carry at all the same status as a university degree in economics. Thus it was only natural that the staff working at the head office saw themselves as smarter, better educated and "more up-to-date" than the great mass of practical men and women out in the field. They also felt superior because they were in close contact with the highest authority, the Managing Director and the members of the central board. Formally they had no right to make decisions about the branch offices, but it was they who wrote the memoranda that provided the basis for the board's decisions and who usually formulated the decisions. A steady stream of instructions concerning marketing, budgeting, staff policy, credit granting and so on poured out from the head office departments. These were the so called "blue memos" and they amounted to several hundred a month, which meant more than a dozen per working day. Even if a branch manager was critical of these instructions and recommendations, he did not feel he had any possibility of questioning them. They were clearly sanctioned by the highest authority. The executives at the head office were like the priests in the temple who preached the modern gospel to the congregation below them. The gospel was the management ideas that had been developed in the mighty land to the west and which had spread all over the world; ideas that the previous managing director had strongly supported.

The new policy that was now being introduced aimed at turning the pyramid upside down and making the branch offices the primary units. That was where the Bank made its money.

In the old organisation there was a clear hierarchy; at the bottom of the scale were the branch offices and on the next step up the district centres. If one had succeeded in being appointed manager of one of these centres, one could move up to a post at the head office, which in turn was the jumping-off point for the highest posts in the Bank. In the new organisation it was service at the branch offices that would be the primary merit. A good office manager could later be appointed to a post at the head office to broaden his perspective. But this work was to be seen as an intermediary stage on the road to becoming manager of one of the largest branch offices. A really competent person then had the chance of becoming a deputy managing director and head of a regional bank.

Achieving a change in the hierarchy of this magnitude is a long and awkward business, so it is very encouraging to know that there are today people who have climbed the above-mentioned career ladder.

Thus it was the branch offices that gave the Bank its income, money that was in part used to finance the work of the head office departments. These departments were now, in the new situation, dependent on the branch offices thinking that they benefited from what the head office departments did; and these departments would have to do it as efficiently and as cheaply as anyone else on the market. In the new organisation the branch offices were the buyers and the departments the sellers who needed to cover their costs. This situation meant that we had to construct a comprehensive internal debiting system – which was unusual at that time. Anyone who has been involved in constructing a system of this kind knows that it is a demanding job; initially, because of the demand for fairness down to the smallest detail, the system is very complex. After a year or so it is usually possible to simplify and standardise it and still get the required effect.

For the executives in the head office departments the new policy meant that, from having been in a clearly superior position, they now found themselves moved down to a lower level. An important tool in the change process was the creation of a central planning committee that had a majority of members representing the branch offices. This committee summoned the managers of the various head office departments, who had to report on what they were planning to do in the coming year and how much it would cost the branch offices. The committee could then decide that certain services were no longer of any interest or that others could be provided by themselves; and in quite a few cases the costs were not considered acceptable and the departmental managers were sent back to do their homework again.

This change in the hierarchy was a very painful experience for many people, something they found hard to accept and accustom themselves to. But it was also vital that they did not give up because many of them were highly competent workers whom we did not want to lose. So we had to proceed very gently. We encouraged the superfluous staff to apply for jobs in the branch offices, as branch managers or staff at the head offices of the regional banks. Some of those who chose this option later reached high positions in the Bank.

The need to use silk gloves was particularly acute when we were dealing with the important foreign business department. In contrast to other head office departments it had its own sources of income, its own result and direct contacts with major companies.

In the new organisation the primary contact for all customers would be a branch office, and all the Bank's services would go via that office. This meant that when complex foreign business came up, the office would call in the central foreign department specialists to help them solve the problem. The income went to the office, but some of it would be passed on to the foreign department as payment for its services. This was a major change for the foreign department staff, more than for the other head office staffs. After having been a department in its own right with very high status, and a considerable income and profit margin, it was now a mere servant of the branch offices. Since we also wanted to raise the quality of the Bank's foreign services, this change in work forms was no easy operation. We moved very cautiously and it was not until the late 1980s that the change can be said to have been completed and accepted.

The foreign business of banks comprises not only business with the banks' customers but also a considerable exchange of business with banks all over the world – lending and borrowing and currency transactions. Very large sums of money are involved. In the old organisation these deals were spread out over a number of units, but that did not seem practical. In this case we have gone the opposite way and centralised the operations.

Being able to steer all the departments of a head office and putting them to serve the line is a necessity for being able to decentralise. The change has to take place for all the functions. This means that, in the initial stage, the costs of the

Managing Director and his associates and of the premises they occupied were debited to the regional banks. Personally I found it a useful and thought-provoking experience to show the line organisation as well as myself all the costs that my work gave rise to.

Thus, a general problem of decentralisation is the opposition it meets within the company from management at various levels. In the case of the Bank, however, it was also necessary to persuade the civil servants at the Bank Inspectorate that decentralised decision-making did not lead to increased credit risks. As mentioned, the Bank Inspectorate's staff believed that the risk of credit losses was lower, the higher up in an organisation the decision was made. It needed a great deal of argumentation to persuade them of the opposite, and this did not happen at once; in this case, too, the operation had to proceed step by step. The credit instructions they were to approve were rewritten bit by bit. Gradually the rights for the lower levels of the organisation to grant credits were increased.

Our argument was that in fact decentralisation of the rights to grant credits did not increase risks but actually made them less likely since the quality of the decisions improved when they were made close to the customer. The analyses of annual reports and other figures are important when deciding whether or not to grant a credit. But even if paper work is all very well and good, personal knowledge of the credit seeker is at least as important when deciding about a credit. What are his or her desire and ability to tackle problems and live up to his or her obligations? On the other hand, decisions reached by the central board could easily be a chimera. External members who have to consider up to 100 applications at a meeting are very much in the hands of their officials.

During the 1970s and into the 1980s it was not very easy to prove that decentralisation led to fewer risks in the credit portfolio since credit losses in banks were extremely low regardless of the type of organisation they had. At this time the banks were often criticised for being unduly cautious. However, during the great bank crisis around 1990 with its gigantic losses it was proved that Handelsbanken, with its decentralised system, coped with the situation considerably better than the other banks, which were far more centralised.

Decentralisation in practice

If one is to succeed in introducing far-reaching decentralisation into a strongly centralised organisation, it is first necessary to "stop the train". A large organisation leads a life of its own. It is like a heavy goods train thundering through the night. What has to be stopped is the work of the head office departments, which is the driving force of the train. In our case we did as follows:

The departments were forbidden to send out any more memos to the branch offices apart from those that were necessary for the daily work and reports to the authorities.

All activities connected with setting up a budget or following up a previous one were closed down.

There were altogether 110 committees and working groups at the head office that were engaged in various development projects. These groups were told to stop their work at once and the secretaries were asked to submit a report on not more than one A4 page describing what the work had resulted in so far.

Several hundred people were working on a radically new data system. That work was stopped. Similarly, the department concerned with long-term planning and the formulation of visions and strategies was told to stop its work.

At that time Handelsbanken was one of Sweden's largest advertisers. There was a marketing department of 40 persons at the head office that prepared the major advertising campaigns and extensive advertising activities at the central and local level. This work was stopped, and after a while the number of employees in that department fell from 40 to 1.

In 1971 the Bank was going to celebrate its centenary, and advanced plans had been made for this event. These celebrations were cancelled. Apart from any other reasons it did not seem sensible in the current circumstances to devote time and energy to anniversary banquets at the Stockholm City Hall and other places and take visiting guest from all the banks of the world for boat trips in the Stockholm archipelago.

The cancellation of the 100th-anniversary celebrations proved to be a successful move. The Bank's personnel had been preparing themselves for the celebrations for a long time and speculating over whether they would get one or even several months' salary as a bonus. It ought to be more than they got at the 75th anniversary. They couldn't imagine in their wildest nightmares that the celebrations would be cancelled. Not the done thing at all! It was like swearing in church. So the Bank must be in a really bad way.

Like nothing else the calling off of the anniversary celebrations created a crisis mentality that was a great advantage when we set to work to drastically change the organisation and its direction.

That is how the work of the head office departments was brought to a close. That mighty train came to a halt with screaming brakes and we had time and space to start building up the new organisation.

Behind these actions lay not just the desire to slow down the Bank's operations; in my opinion we also needed to completely do away with budgeting, long-term planning and image-creating advertising. This belief was based on my practical experience and the research I had previously taken part in. I will return to this issue later.

The organisation created in the early 1970s, which is still in force, has in principle three levels of decision-making: the branch offices, the regional banks and the central board. The regional banks, which initially numbered eight, were large enough to cope with all the functions of an independent commercial bank[5]. At the same time they were not too big for their managers to be able to follow personally all the work of their bank. This meant that the number of branch offices per regional bank was 50 to 60. It was no coincidence that this number corresponded to the size of the provincial bank I had previously led. It was my experience that this was a size that was big enough when competing with considerably larger banks but still made it possible to keep in close and natural touch with the various office managers and their work. The new organisation meant that the special right to grant credits that I had as Managing Director had been taken away. At the same time the board of management was abolished. It is also worth mentioning in this context that this board had a special status in the old organisation. To deprive some twenty directors of this "gold braid" could lead to unnecessary bad blood, so the solution was to stop calling them to meetings. Within a year or so the institution had died out. This has proved to be a practical model on other occasions, too, when prestigious institutions need to be abolished.

After the reorganisation the number of applications that were dealt with by the board of management decreased. Between 1968 and 1975 they fell from 869 to 406. It was also of great significance that we altered the work procedures at the same time so that in reality the board only dealt with the credits that might be described as problematic.

In the new organisation the overwhelming majority of *credit decisions* were made at the branch office level. The level for decisions for branch office managers was in 2002 between $ 0.1m and $ 1.5m, depending on the size of the office and the manager's competence. Thus, in 2001 Handelsbanken made about 400,000 credit decisions; of these about 390,000 were made at branch offices, 10,000 at regional banks and 800 by the board of management. However, this board's ple-

[5] There are now eleven of them; seven in Sweden and operating in Norway, Finland, Denmark and England, as special regional banks.

nary meetings deal with only 40–50 applications which are either very large or particularly complex. The remainder are decided on by a special committee.

All credit matters, regardless of the size of the company, are primarily dealt with at the branch office level. If they do not fall within the office's authority, they are sent on with a recommendation to the regional bank, where either a decision is made or the matter is sent on to the central board if it is above the regional bank's limit. Thus, all credit matters are first dealt with at a branch office and it is always this kind of office that has the primary responsibility for the customer, however large the company is.

The number of applications mentioned above is on the low side since it does not include all the applications that are rejected. It is only applications that the offices recommend that are sent on to the regional banks and the central board. There is no information on the number of applications that are rejected. Obviously there are quite a large number of applicants who are recommended to try their luck elsewhere or are urged for their own good not to incur a debt.

The principle of decentralisation applied, of course, not merely to credit decisions; the aim was to try to move all types of decision as far down the organisation as possible, preferably to the branch office level. This was true of marketing, for example. These decisions were moved to the branch offices.

This means that the branch offices decide which products they will sell from the product range and what prices they will charge or offer. However, as far as prices are concerned, they are bound by the rates for certain current and deposit accounts given on the Internet or in advertisements.

Apart from the few occasions when a new product is launched that is common to the whole Bank, there are no central advertising or publicity campaigns. They would contradict the decentralisation principle, since they would involve controlling the branch offices' work. Local activities such as advertising boards at ice-hockey rinks and advertisements in programmes, club magazines or local newspapers are paid for by the offices themselves and are not very extensive.

Alongside credit matters, decisions concerning personnel are the most important ones in a bank. How many people and which ones should be employed, who should be offered early retirement or the like, what salaries and what qualifications should the employees have, what training should they get and who should be given the chance of promotion – these are questions that are quite decisive for the Bank's success or failure. If you are successful in putting the right man or woman in the right position, you need not worry too much about the rest. But this ideal situation is difficult to achieve. Recruiting and promotion are complex matters.

As far as possible the aim was to let the branch offices decide for themselves how many staff should be employed, what their duties should be, what opportunities for promotion they should be given and what salary they should be offered. I must admit I felt some doubt about letting the office managers themselves decide how many employees they needed. This was because of the earlier, continually repeated complaints that the higher authorities had refused to let them have the number of people they needed to cope with the work. If they were given a free hand, was there not a risk that personnel costs would escalate? Giving a person a permanent post in the Bank in reality meant making an investment that stretched over 20, perhaps 30 years, since the Bank's traditions and policy were to offer secure employment, a policy that we were proud of. Mistakes in connection with employment and promotion could have great and even disastrous consequences.

Nor were there in the 1970s union agreements for decentralisation and individualised salaries. Our strong union was opposed to such ideas. It was also obvious that there were questions concerning training, recruitment and promotion that could not be dealt with at the branch office level. These required specialist knowledge and insight into the personnel resources of the whole Bank. In practice this meant that initially personnel matters remained with the regional banks, to which most of the central personnel department's duties were transferred.

Decision-making concerning personnel has subsequently been successively transferred to the office level over a long period of time as the new organisation has matured and settled in. Nowadays we have made great progress even in this field. Thus since 2001 it has been the office managers who have decided not only how many employees the office should have but also what salaries they should be paid. The fact that we have reached this stage is proof of the good and trusting relations between employees and management in the Bank.

In the Bank we usually say that, during the past 100 years, no one has been forced to leave because of lack of work, and it is our aim and hope that this will continue to be the case in the future. I cannot vouch for all the 100 years, but this statement reveals a clear ambition. It means that when staff have to be cut, the office managers contact their respective personnel departments to discuss a suitable solution. This might be to offer the person in question a job somewhere else in the Bank, to discuss early retirement or to suggest some other proposition. If an employee thinks that the salary the office manager has decided on is not reasonable and fair, he or she can contact the union, which will help him or her to discuss the problem with the office manager. As mentioned, individual salary setting at the branch office level is a relatively new phenomenon, but so far employees have not needed to bring in the union on any occasion. At Handelsbanken virtually all staff, even at the managerial level, are union members and there has long been a well-established relationship with close and continuous contact between union and management.

As for *investment*, office managers can make any decision they like as long as the sum is below quite a low limit. The reason is that when it is a question of purchasing furniture, machinery and other equipment the Bank wants office managers to contact the regional bank to find out if what they want is unwanted in some other part of the Bank. For computer equipment there are special and natural restrictions.

For a bank the annual costs of acquiring new *computer software* and *computer hardware* are quite considerable. To these must be added the operational costs. In the early 21st century the annual costs at Handelsbanken for software and computer operations plus depreciation for hardware are around $ 250m.

The effective planning of development projects for computerisation has become more and more important for banks. Such projects are not only extremely expensive but also hard to administer. It is not like building a bridge or a paper mill, where it is fairly obvious from the start what is involved. With computers it is more like the projects I took part in carrying out in my former post as head of a research institute. In these projects the researchers were working in unknown areas and very often as their boss I felt I was in the hands of the specialists, just as with computer projects. It can be extremely difficult for a Managing Director to assess the practicality and quality of the various computer solutions that are put forward.

On the other hand, it is up to the line's representatives in the project groups to judge whether the results can really justify the costs the specialists believe they will incur. That's not an easy task, either.

At the research institute I used to ask the researchers to estimate as honestly as they could the time and cost of their projects. When these projects were discussed at board meetings, I usually quoted costs that were three times higher and times that were three times longer than the researchers had said. They were usually quite accurate. My own experience of major computer projects agrees with this, though the multiple may be somewhat lower. I have also heard computer specialists say that right now we are facing a peak in costs but soon we shall be back at a lower level. But the peaks have a nasty tendency to repeat themselves and begin to look like a rolling high plateau. According to what I have now been told, however, with the benefit of long and costly experience, increasingly effective ways have been discovered for keeping control over costs and deadlines. The solution seems to be a special planning committee at a high level that concerns itself only with major data projects.

The offices are committed to using the Bank's computer system and the data centre in Stockholm. In view of the need for security and for the different units to be able to communicate with each other, no other way would be conceivable. When purchasing computer equipment at the branch office level, however, branch managers are not bound to buy a certain make. If they find it convenient to use a local supplier, that is fine as long as the equipment is compatible with the Bank's standards.

Nor are offices allowed to trespass on each other's marketing territory or poach each other's customers. That this is inappropriate is quite obvious but in practice not always so evident to ambitious office managers.

When I described the new organisation during the first few years, I was often asked to show our organisation plan. My reply was that we did not have one, which did not mean that not everyone in the organisation was quite clear who was their boss. If my audience wanted to know more, I referred them to our internal telephone directory. This is still the answer to questions like this. We have no organisation plan and the directory information is now in our computer system.

It is practical experience that lies at the back of this attitude, as far as I am concerned. When I was appointed Managing Director of Sundsvallsbanken without any practical knowledge of banking, I asked to see the organisation plan. According to the experts an organisation plan was indispensable in every well-organised company. The answer was that there was none. Yet the bank was undoubtedly very successful. My predecessor advised me not to try to make an organisation plan. He pointed out that the bank had functioned perfectly well for 100 years without an organisation plan and I would only cause myself trouble by making one. A plan means that the hierarchical structure of a company is made clearly visible. If it is necessary to make changes later in the division of work and hence the plan, it means that not only the people concerned but also the whole staff find out whether they have been moved up, down or sideways. This may make changes difficult and unnecessarily painful. Detailed organisation plans with whole and half levels also create a hotbed for paralysing or destructive ladder-climbing efforts.

When I later began to understand how Sundsvallsbanken actually worked, I realised that any plan that realistically reflected the complexities of real life would look more like a spider's web with hundreds of threads showing the interactions of varying strength and character that took place between people in the company. And that is how it is in any organisation; trying to squeeze its complex reality into a plan results in a misleading picture.

This realisation also told me that if the company has an effective and harmonious network, one should be cautious about messing it up with reorganisation projects. Organisation consultants often seem to look upon reorganisation in itself as a refreshing sauna bath – the more often the better. But they are fundamentally wrong.

The Bank's aim and that of others

Thus decentralising the functions of the head office is an absolute necessity for decentralisation. Another vital condition is that there is a clear and attainable goal that the personnel understand.

In a company's annual report the Managing Director usually writes a special introduction in which he not only comments on what has been achieved during the past year but also formulates the company's future targets. The intrinsic strength of these thoughts is emphasised by the accompanying picture of the Managing Director looking the shareholders straight in the eye.

The publications we are talking about are often full of the pretentious banalities that Americans call corporate bullshit.

The Managing Director emphasises that the foremost asset is the invisible item in the balance sheet, the personnel, and that the company intends to develop their special competence even more, as well as the unique qualities of its products, and that strengthening the company's position as the leading manufacturer in the business in Stockholm, Sweden, Europe or whatever might seem credible. Expressions like "building a global platform" are frequent because they have the advantage of being imprecise and therefore difficult to criticise; "a challenge" is another of these popular battle cries as is "We are striving to utilise our potential for organic growth as well as planning to make profitable acquisitions." This all sounds lovely, and the reader is evidently expected to be impressed by this solemn promise that the management is not planning to refrain from organic growth or from making interesting acquisitions.

Almost without exception the basic theme is such presentations and the only really concrete fact is that the company wants to grow and get bigger. To reach this goal sales need to increase. This was also Handelsbanken's basic aim during the 1950s and 1960s. Growth strategies are motivated by what is written in economic textbooks: the advantages of long series and the benefits of being able to spread costs for machinery, plant, research, and the like over a larger number of production units since such costs do not usually grow in proportion to the amount of production. A very real advantage that is less often mentioned by companies is the possibility of gaining a dominant position on the market by means of growth, which makes it possible to charge higher prices.

But growth strategies have their disadvantages, too, like expensive but wasted investments that force up the company's costs. The desire to expand also often means that a company acquires accounts and customers and activities that yield poor or no profits. This was the effect that Handelsbanken faced in the 1960s.

If a company wants to expand, buying up competitors or a merger may seem to be the only, or at any rate the fastest way to achieve growth and market dominance. Extensive research, going back as far as to the late 19th century, has been carried out on the economic effects of mergers. This research shows that in the great majority of cases the mergers were unsuccessful in the sense that they did not lead to the benefits promised in the memoranda to the boards or in the prospectuses to the shareholders; in quite a few cases the effects were downright negative.

In these circumstances one may well wonder why growth strategies seem to be so universal among companies listed on the stock exchange all over the world. In many cases it must be better to aim at other goals.

However, behind the desire to grow continuously there are powerful forces that in Sweden have grown in strength over the past few decades. Managing Directors are and should be people with a strong need to exert their authority. The easiest way of asserting themselves so that the world, the organisation and the shareholders see this is to lead the company that grows most and is in some sense the largest. Company press releases that deal with such issues are given plenty of positive exposure in the media, whereas information about a slower rate of growth or perhaps no growth at all is presented as a failure in comparison with other more expansive competitors. This can be a painful experience for a managing director. The media and the professional and short-term players that dominate the share market also work in symbiosis. Information about growth leads to positive share price movements and the same is even more true of possible mergers. This provides the professional players on the share market with fuel for their own activities. Thus they have great self-interest in companies going for growth.

So the natural desire for company leaders to assert themselves is continuously encouraged by the media and what is, sometimes reverently, called "the market".

The players on the stock market have recently been able to enjoy a new concept that has become more and more dominant. Following American trends, Sweden has adopted the concept of shareholder value, which in practice means the stock-exchange price of a company's shares. Consequently, pushing up the share price, and not in the first place to improve profitability, becomes the aim of a company's activities. If the management succeeds in doing this, there will be bonus payments or the opportunity to make money on the options they have been allotted.

In the long term, of course, there is a close connection between profitability and share price, whereby the latter is a function of the former, expressed as the yield that the market demands of various types of share and the expectations of future profits that the market players have. For businesses that have historically shown a stable but slow growth in profits the yield demand is relatively high. A typical example of this type of business is banking. On the other hand, businesses that can be expected to show a rapid growth in profits are allowed a lower yield for the time being. Typical examples are, or were, businesses that were involved in the new information technology.

If the aim is to improve profitability, the Board and the market can, quarter by quarter, follow how well the management has succeeded in its efforts. If the aim is to push up the stock-exchange price, the efforts will be different. Then it is important to influence the market's future expectations in a positive direction, which can very well be compatible with low or falling profitability for the time being.

Measures that can result in higher share quotations are, for example:

- Information about mergers or acquisitions which are asserted to lead not only to a great increase in volume but also to major cost savings in the future.
- Large investments in new technology, which is expected to greatly increase profitability.
- The sale of parts of a business, which is alleged to result in capital gains at the same time as the capital released will be placed so that profitability increases greatly.

It may certainly be useful if conservative and inactive managements feel pressure from the stock market. But to have a rise in the share price as the main aim can obviously lead to destructive behaviour which, in the long run, may have disastrous effects. Events in the past few years have been frightening. So for me personally this type of goal seems directly improper, and even more improper if the goal is the absolute level of the share price as is usual. But it is well-known that the price development of a certain share is closely connected with the general trend on the stock exchange and in particular with developments in the same line of business. It is only positive deviations from *this* development that a management can have cause to congratulate itself on and that could motivate a bonus.

During periods of continually rising share prices managements will, of course, be enthusiastic supporters of payments based on the share price. During the 1990s such payments were very large, at times disgracefully large. In more recent times with poorer results people have even so managed to find constructions that still lead to large payments.

A self-evident starting point for discussing these issues in the economic journals and the financial pages of the daily papers seems to be that one cannot expect business managers to do their best unless they can look forward to an extra payment if they do well. If they do not get such a promise, there is even a risk that they may leave for a better offer. It is as if one was talking about the mercenary soldiers of the Middle Ages.

They fought for the devil or the Pope, depending on who paid best. After storming a fortified town they had the right to plunder it and sometimes they came to a halt and demanded more money before they started a battle that risked being bloody.

It is as though loyalty towards a company and the satisfaction of having done a really good job lacked value and meaning. This seems to me to be a remarkable attitude, which is not to say that company managers should not be well paid for their demanding and important work and that it is not of value that both they and the other employees should have shares in the company.

For Handelsbanken the central aim in the 1950s and 1960s was to grow and to be "Everybody's Bank" and "The Biggest Bank in Scandinavia". This latter goal had in fact been reached; it said so on all the matchboxes. But at the same time it was evident that this growth strategy had led to the above-mentioned disadvantages. Costs had risen and as a result of the hunt for new business the Bank had many unprofitable customers on its books. However, these problems were not clearly evident since the Bank was surrounded by competitors that in most cases pursued the same policy. Consequently the level of costs did not seem to be especially high in relative terms and the customer base was still dominated by accounts that were acquired at other times and were considerably more profitable.

The heart of a growth strategy is to concentrate in the first place on increasing sales. It is obvious that in a strongly decentralised organisation a growth strategy can easily lead to disaster because there is a great risk of losing control over costs. Offices devote themselves to acquiring new customers and the question of costs is pushed into the background. Selling is the primary doctrine that is preached. The management cannot interfere without centralising. It is therefore fair to say that growth is a particularly unsuitable goal for a decentralised organisation.

In market economies, and here we are only discussing such economies, a company's prime aim is to survive. If it is to succeed in this, it must in the long run have as good and preferably better profitability than its competitors, that is, a relatively higher income and lower costs. Thus it is a question not of an absolute but of a relative goal: outdoing the competitors and in the long term the whole business world. When the competition gets tougher, income will decrease because of the pressure. It is easy to lower prices, but costs are much more difficult to reduce. Not least in such situations, then, low costs are a great advantage or, as we usually say at Handelsbanken: The bank with the lowest costs will in the end be the only one left victorious on the battlefield.

The above is the foundation of the goal that was established in 1970 for the Bank's activities. Quite simply this goal is to attain a level of profitability that is higher than our competitors' .It has ever since then imbued our company. At the same time we have emphasised that the royal road to the goal is to have low costs and costs that are lower than in other banks. This kind of goal is very well suited to a decentralised organisation, since it helps to prevent business from getting out of control.

One may well ask whether the above-described goal is enough. Does not a company also need a goal for its personnel policy, ethical guidelines, plans for improving equality and for contributing towards a better environment? In the 1950s and 1960s it was fashionable to formulate "a company policy" for companies: small folders that were distributed to all the employees. They were usually prepared by consultants, who thereby developed a new field of operations. Because of increasing demands from the employees, these folders dealt in the first place with personnel matters. They discussed forms for consultation and participation and for creating good relations with employees. This wave reached its peak in 1968. After that interest waned; the demands were met and many of the issues were regulated by legislation.

In recent years this type of publication has become popular again, but now they deal with pressure from the women's movement and friends of the environment and demands for "greater social responsibility" on the part of companies and problems symbolised by the expression "burnt-out".

For a bank, and not least for a universal bank, it is, has been and always will be an economic necessity to adapt to the general system of values that prevails on the markets where it operate is. If any other policy is followed, the result will be bad. Much of what is written in policy documents nowadays is therefore self-evident and hardly warrants the paper it is printed on. But then there are other matters that are more difficult to take up a position about. How, for example, should the question of drugs and alcohol abuse among the personnel be dealt with? Should women receive special treatment and should a customer's environmental policy be taken into consideration when granting a credit? There is a need to clarify and give guidance on such matters.

But is there not a conflict between the desire for lower costs and the importance of having satisfied customers? In his comments on the annual report for 2001 the Bank's newly appointed Managing Director discusses this question. Considering that Handelsbanken has by far the lowest costs at the same time as external polls show that it has the most satisfied customers, he claims that no such conflict exists. Quite simply – which in practice is not so simple – it is a question of getting things right from the start and doing the right things. The latter means refraining from doing what one is not good at and what does not make a satisfactory profit.

The above two main types of goal for a company may be characterised by the words "growth goal" and "profitability goal". Of course a company that aims for a growth goal may very well say that in fact this does not conflict with a profitability goal; the aim is to attain greater profitability by growing. On the other hand, a company that aims at a profitability goal may claim that aiming for this goal also leads to very strong growth. In these circumstances the different goals seem to be two sides of the same coin.

That is in theory; in practice it is rather different. In my experience the difference between the two types of goal is actually quite considerable and may be said to represent basic differences in attitude concerning how one deals with real life and how one tries to solve problems. I have experienced this many times in the boards I have been a member of. On the one hand management is inclined to solve difficulties by expanding and making bold investments, on the other hand it takes in the sails and chooses a less risky but slower course to the goal.

Managers that choose the latter attitude may often best be characterised not by what they intend to do, but by what they decide not to do. Let us look at a few examples. The Swedish banks were among the first companies in the country to computerise their work. They started in the 1960s. To begin with the costs were low, but during the 1990s they began to accelerate. During the past 30 years a bank like Handelsbanken has invested about \$ 700m in creating computer programs. On top of this are the costs of hardware, which can be estimated at about \$ 100m; all in current prices. Thus the costs are very high and wrong investments expensive. Bad programs are particularly expensive to correct, while unsuitable hardware can usually be put to other uses.

During the 1960s, in accordance with its growth strategy, the Bank had a strong desire to lead the field in computer development in banking – and did so. It aimed at making a great leap forward in the early 1970s and banked on leaving its competitors a good way behind. When the goal was changed in 1970, this meant, as mentioned above, that we stopped the development work, thereby postponing the introduction of the new system by about two years. The investment was judged to be too risky and we wanted an opportunity of testing the new technology properly and on a small scale, as well as giving the people working in the branch offices a chance to accustom themselves over a long period to the new system and learn the new technology. In the computer field this has meant not striving to be first in the field with developments or being first out with innovations but all the time moving carefully forward – which does not mean that we will not at times develop new ideas that are at the cutting edge.

Nor has the profitability goal meant that the Bank has not been able to consider buying up other companies. Thus several small banks have been bought in other countries, as well as a major insurance company and a very large building society. Nevertheless, there are other purchases that have *not* been made and proposals for mergers that have been rejected. Even though the purchases and mergers would in themselves have given us very strong growth and, looked upon in the conventional way, might have appeared to be very attractive, the Bank has abstained. One reason is that it sees its own strongly decentralised organisation and its own special philosophy as the foundation of its success. And this should not be endangered. Buying up or merging with another company of considerable size with many employees is difficult to imagine in these circumstances. It is hardly possible to carry out a deal of this magnitude without being willing to compromise on central points. And we are not willing to do that, so there is no deal.

Steering the organisation

Once the organisation's structure, the decentralisation principle and the goal were established, the next step was to formulate the steering system. At this time, more than 30 years ago, it was unusual in Swedish banking to have a detailed budget. There was no budget at Sundsvallsbanken, for example. Handelsbanken was leading developments in this field, too, and in the accounts department a special group was working on a modern budget system that had begun to be introduced. Closing down this project and completely abolishing budgeting seemed to me to be an easy decision to take. Firstly, I knew that Sundsvallsbanken functioned perfectly well without a budget and secondly, my work as a researcher and specialist in forecasting had convinced me that they are unsuitable as the basis for practical business, and a budget is a forecast. Apart from the specialists in the accounts department, this closure did not lead to any protests in the organisation. On the contrary, the branch offices and departments were glad not to have to devote time to filling in forms that were sent to the accounts department as a basis for the budget. Now this could be put aside with a sigh of relief and they could get back to the work they had always done. Thus, more than 30 years ago the Bank turned its back on the steering system that was and still is the dominant model in the whole of the industrialised world. In a later chapter I will return to the meaning and weaknesses of this model and show why it is incompatible with our type of organisation.

The Bank's goal is clear and simple and the same is true of our steering system. In principle it is nothing more complicated than that all the business units, as often as is practicable, should have access to the information that is available in a normal profit and loss account and balance sheet and thereby be able to see whether they have succeeded in their attempts to reach better profitability than "the others". For the Bank, higher profitability than the other banks, for the regional banks, higher than the other regional banks and for the branch offices higher than the other branch offices. That is all there is to it. And it is a very effective form of steering system.

The regional banks and their managers can see every month how they are placed in relation to the others and note that half of them are above and half of them below the average. Those that are below will try to move up, while those that are above will try to get even higher, because they can feel the others breathing down their necks. As a result of their efforts, the average will rise and half of them will always and inevitably be below it. The pressure is never off since the goal is continuously rising. On the other hand there are no goals established in advance that have to be met. The same applies to the branch offices.

Initially some regional bank managers claimed that the reason why their results were below par was the poorer conditions for doing bank business in their part of Sweden. The reply was that, if this was really so, their resources should be moved over to more favourable regions. Interest in this type of criticism soon died out. It has also turned out that the ranking among the regional banks changes all the time.

The regional banks receive from the Bank's accounting system information of the same kind as they would have had access to if they had been independent banks. The capital they have to gain interest on corresponds to the risk in the business they do plus a small part that corresponds to their surplus. Thus those that have been very profitable get a little more of the total capital. The sum of the regional banks' and the other business units' capital is equal to the Bank's whole capital. The allocations are made quarterly. As for the branch offices, we found that it would be impractical to distribute the capital in the same way among them. Instead they are debited a cost corresponding to the capital they use.

At an early stage we found that the Income/Cost ratio (I/C ratio) provided a good picture of the level of profitability at the various offices. This measure was later accepted internationally, but for reasons we find difficult to understand they chose the inverted form C/I. Thus the offices now compete to get as low a figure as possible instead of as high a one as possible.

A basic principle is that profit centres should only be credited with income and debited with costs that they themselves can control and influence, directly or indirectly. Thus, this also applies to internal prices that correspond to the prime cost and are set annually in negotiations between the business units and representatives of the support departments. Previously the variable costing method had been popular in the

Bank, but we found that marginal thinking had been a highly dangerous method to rely on.

In the attempts to improve profits it is vital to concentrate on essentials. It was obvious that the decisive factor on the costs side was the number of employees, not only because of their salaries but because their number governed the level of a range of other costs such as rent, travel expenses, entertainment accounts, office equipment, telephones and so on. The accounting system (RESS) provides the offices with information about work volume per hour worked, since most transactions are now timed. This figure is an important starting point in the never-ending task of making the work more effective. In recent decades the continually rising costs of computerisation – operating costs and programs – have become a new strategic item on the costs side. They affect the offices in the form of debit entries and are followed up and analysed in a corresponding way. The size and direction of computer activities are continually queried and discussed at meetings of the committees mentioned above. It is no easy task, however, to control these costs.

The interest margin is the most important source of income. Here the system makes it possible to compare the various units. Commission payments have also increased considerably in recent years, leading to equal treatment.

In marketing the central concept is customers and not products. The aim is to acquire customers who provide good profits and to improve the profitability of the customers one already has. If it proves difficult to reach an acceptable level, the final solution might be to encourage customers to change banks.

For this work it is vital to have customer analyses that show the profit per customer. This was a difficult and time-consuming task for business customers who operate all over the world and who use large parts of the product range. Nowadays branch office managers can take the information straight out of the database. In more complicated cases they will have to wait until the following day, since it is cheaper to let the computers carry out the calculations at night.

Alongside these formal steering systems there is a very *informal steering system* whose aim is to hold the organisation together, so that everyone is moving in approximately the same direction and has more or less the same viewpoint about how various problems should be dealt with.

A small internal publication entitled "Goals and Methods" is central to this issue. It was written in the summer of 1970 and has successively been developed and adapted to meet changing conditions by each Managing Director. All our employees are expected to make themselves familiar with it. It is the basis for much of our internal training programme. The Managing Director himself is responsible for formulating this publication, in contrast to other companies where consultants often do the job.

The discussions, or rather the conversations, that continually take place among those who work in the various units at the regional banks and for the whole Bank are of vital importance. All regional bank managers and the corresponding managers of other units meet once a month for discussions and conversations under the leadership of the Managing Director. They meet in the afternoon and then have dinner together. No minutes are kept of these meetings and no formal decisions are taken; the aim is to inform each other and reach a consensus concerning the way current problems should be solved. If there are widely divergent opinions, the matter is put forward to the next meeting. After every meeting the Managing Director writes a letter to all the Bank's employees in which he gives his personal view of current issues and presents information on developments in various fields. Similarly the regional bank managers write to the branch offices of their regional banks.

Each autumn the Managing Director devotes a great deal of his time to visiting the regional banks and other large units. Each visit takes two days. The first day the Managing Director and his assistants sit down together with the regional bank management team. Naturally the Managing Director has prepared his visit in advance but the aim is not to interrogate the regional bank management team about why this or that figure in the result report is not very satisfactory; it is rather to give them an opportunity to describe their problems and successes and discuss their future plans and the support and help they need from the head office. The following day three or four branch offices are visited and the Managing Director sits down with the whole staff over a cup of tea or coffee and a cake or two. Naturally the Managing Director had done his homework for these visits, too, but the aim is not to deal with "awkward questions" – that is the regional banks' responsibility – but to hear how they feel about their market, their competitors, the problems they are facing and so on. At the same time it gives the Managing Director a chance to present his appraisements at the grass roots level, so to say.

It is very time-consuming to travel round the country, and nowadays to the other Scandinavian countries as well, but generation after generation of managing directors have confirmed what great value it has for them to have down-to-earth contact with the daily work of the Bank in this way. It gives them the right feeling for their own work.

Among the more informal steering systems may be mentioned the *operational plan* that every office manager is expected to draw up. These plans are the result of discussions with all the staff at the office and are an attempt to work out what customers they should try to acquire and how they should set about it; what products these customers might be interested in and who is going to do the job.

And, of course, what customers they should perhaps try to get rid of. These plans are often drawn up at the beginning of the year and cover a whole year, but they can also relate to a shorter period depending on what the activities are. They provide a natural basis for discussions between the office managers and the regional bank.

The above gives a picture of how far we have got in our decentralisation plans since the fundamental decision was made more than 30 years ago. We were able to do a lot in the first five years, but some things took much longer. The latest addition to the structure is that branch office managers have for a year or so now been responsible for setting the individual salaries of those who work in their office.

To really carry out a decentralisation plan is a long-term project that demands purposeful and persistent efforts on the part of the management. There are always strong centralising forces within any organisation that can easily get the upper hand if the management is not on its guard.

Computerisation gradually creates better and faster means of providing decentralised units with the information they need. But it also gives the centralistic forces a powerful weapon since it has become so much easier to control and steer in detail.

Octagon

In the 1960s quite a few companies had begun to give their employees shares in the company. These were often bonuses in connection with anniversaries or the like. In part this was the counter-move against the nationalisation movement, which at that time was storming forward. The effects of this measure were, however, insignificant; quite often the employees sold their shares shortly afterwards and the holdings were too small and scattered to have any influence.

The aim of the Bank was to have greater profitability than its competitors. If it succeeded in this in the sense that its profitability was higher than the average of the others, the message was that those who worked for the Bank had done a better job than was normal for the banking industry, because the conditions under which banks worked were so similar. The Bank's employees had achieved a "better-than-average" result. It seemed reasonable to me to think that this profit should not go in full to the shareholders – they had done nothing special – but that the employees should receive part of it.

At the same time I thought that it would be a good idea if the employees were to become part-owners of the Bank and in such a form that they got real influence.

Profit-sharing systems are nothing new; there were several hundred in the United States at the end of the 19th century. Even in Sweden there were quite a few in the early 20th century. But now almost all of them have vanished. The reason is simple: such systems are started when companies are doing well and the shares are in the form of New Year or Christmas bonuses. As long as the profits are good, all is well. But then things start to go badly. There is no profit to distribute and so no Christmas gratifications. The employees find this hard to understand; they have got used to and adjusted their outgoings to the Christmas present they have received for so many years. There are negative reactions. This is not the meaning at all, so the management decides it is better to abolish the whole scheme. If we at the Bank were to start a profit-sharing system we would have to make sure that this kind of situation did not arise. Non-payment of a bonus should not lead to those kinds of reaction.

The above is the background to the form of profit-sharing system for the Bank that the Board of Directors voted for in 1972 and which began to operate in 1973.

The Bank's union organisation was invited to create a foundation into which the employees' share of the profit would be paid. This share would be paid out every year that the Bank's profitability exceeded the average of the other banks. Of the profit after tax half was to go to the shareholders and half to the employees. Each and every full-time employee, regardless of salary and position, would receive the same share of the profit. The individual profit shares would be paid out to the employees when they retired. If there was a year or two when no money was paid into the foundation, this meant that the "extra pension" they got after 20 or 30 years would be somewhat smaller than otherwise. The risk of negative reactions seemed small. The delay in paying out the money also meant that the employees' shares were kept together and could become a considerable capital.

This proposal met strong resistance from both the employers' and the employees' organisations. The former were worried that the employees would take the Bank over, while the latter were uncertain about getting something they had not asked for. However, both the Board of the Bank and the Union ignored the objections.

As the Introduction indicated, the bank's profits over the 30 years that have passed since the system started have been sufficient every year to set aside a share to Octagon – the name of the foundation.

As a result, and thanks to the foundation's wise investments, Octagon has grown to a considerable size. At the turn of the year 2001/2002 the market value was $ 1.7bn. Nowadays, too, the payments have become large as those who have been members for a long time reached retiring age. In the spring of 2002 each and everyone who retired and had been a member from the start received $ 430,000 from Octagon.

The Octagon system has been a great success. It has given the employees an extra pension far beyond their expectations and the Board of Directors has long since stopped worrying about whether the employees would take over. Instead it can feel pleased that in Octagon the Bank has a really long-range and competent owner of 10 per cent of the votes. Nowadays there is a shortage of such owners. The foundation is represented on the Board of Management by two employees elected as owners by the annual general meeting. When they sit at the Board's table, they represent more shares than anyone else round that table.

I often meet the idea that the Octagon system spurs the employees to make special efforts and that this is a significant explanation of the Bank's success. This seems quite wrong to me, and it was definitely not the motive for introducing the system. I find it very difficult to believe that anyone would make an extra effort because, in 20 or 30 years' time, it might result in them getting a somewhat larger payment from Octagon than otherwise.

One word that expresses an essential motive for establishing Octagon is "reasonableness". If anyone did something out of the ordinary, it was reasonable for them to share the result. Other words that say something important about the Bank's way of looking at its employees and the relations between them and the management are "mutual trust" and "respect". The Octagon system may be seen as the expression of this outlook at the same time as it is something that can strengthen it.

Looking at it in this way one can say that the system helps to create the spirit in the company that is an important reason for the Bank's long-term success. It also creates a natural interest in the Bank's and other banks' financial reports and what affects the results in a positive or negative direction. This kind of interest and the insight it gives are a great asset in the work of continuously improving the profits.

Our profit-sharing system is based on the Bank's central aim, which is to achieve better profitability than its competitors; thus we reject the idea that a rise in the company's share price should be a reasonable and appropriate goal.

During the 1990s and in imitation of American models various types of *option programmes* spread like wildfire among Swedish companies. Year after year the stock exchange prices of most companies rose regardless of the business sector. For those who were in the programmes it seemed as though they had been given a very cheap air ticket that continually took them to new heights. For a long time the Bank's management resisted, but in the end it did not seem reasonable that the Bank's employees should not share in the distribution of these wonderful cheap-rate tickets like all the others.

The Bank decided therefore to start a programme covering the years 1999-2004. The "price of the ticket" was about $ 1 and the offer was made to a wide range of employees. All in all about 650 employees at management level were invited to take part, and 80 per cent of them accepted the offer. It remains to be seen whether they bought a winning ticket or not.

5. Doubts, questions and criticism

During the past 20 years I have given a great many lectures and talks on the "Handelsbanken Model" at conferences in Sweden and in Europe and at a number of universities. They often lead to lively discussions in which the audience ask questions and raise objections to what I have said.

In this chapter I will discuss some of the questions that often come up.

Sub-optimisation

In books on company management the risk of "sub-optimisation" plays a major role and is described as a serious and almost insoluble problem for a decentralised organisation.

The problem is said to be that in a decentralised organisation there is a risk that local units, in their desire to satisfy their own interests, will act in a way that conflicts with the interests of the organisation as a whole. I usually brush aside this problem quite briefly, as I have done in the previous chapter. But many people have thought that was too easy a way out.

In the first place it is a problem in *time*. The Bank's management wants to invest large resources in something that will not bear fruit for a long time, for example a new computer system. For the branch offices the rapidly rising costs are obvious while the gains seem remote and abstract. According to the critics they will therefore oppose such investments. And this opposition will be a problem.

In my experience the problem is rather the reverse. The line feels deeply that the old system does not give them the information they need and cannot provide services that the customers request and the competitors are said to offer. Hence there is strong pressure from the offices to get a better system – and preferably tomorrow.

I have experienced the same situation in many companies, regardless of the organisation form, in the matter of long-term investments. The task of the central management is to point out costs and risks, but often they speak to deaf ears. It is rather the case that it is easier to gain a hearing in a decentralised organisation since their feelings about cost consequences are stronger.

Secondly, there may be *lateral* problems. A branch office far up north is in contact with a subsidiary of a group. It acts on the basis of its relations at the local level without taking into consideration the consequences this may have for the major business the Bank has with the company in the southern part of the country. This might be a problem if it was not so that for each customer there is *one* office that has the main responsibility and looks after co-ordination and if there were no customer analyses showing the extent and profitability of all the company's business with the Bank. All offices have access to these files.

It is possible to think of other situations in which the narrow interests of a branch office, a regional bank or a large central unit might have negative consequences for the whole Bank. I have read case studies of problems caused by a large branch office or a regional bank starting a project, for example to build up its own foreign department. This means that a conflict arises between the central management and the local units which is insoluble. Such an example seems rather farfetched to me and I have never experienced in real life that problems have arisen which could not be solved with a little common sense.

Thus the question of sub-optimisation seems to me to be mainly a theoretical problem.

Portfolio analysis

Something that often arouses surprise and criticism is that we do not use modern portfolio-analysis techniques for credit portfolios. We do not do so because it is not compatible with our decentralised organisation and because we consider it a method that gives uninteresting and misleading results. In certain circumstances it can have directly dangerous effects. These are opinions that arouse considerable indignation in the academic and other establishments in the field of finance. This is also true of the Finance Inspectorate for whose officials, who usually lack practical bank experience, the method seems attractive and manageable.

The problem is how the risk level in a portfolio of shares should be kept within reasonable limits. The starting point is the old truth that one should not put all the eggs in one basket. In the 1950s theorists began to interest themselves in the problem of finding exact mathematical expressions to describe how many eggs should be put in different baskets to reach the desired goal concerning risk and yield. The three leading researchers in this field were awarded the Nobel Prize for Economics in 1990, so the method has been given the highest certificate of merit.

The researchers' results were initially applied to the composition of portfolios consisting of shares, bonds, money-market instruments and the like. This method is now firmly established.

It was natural, however, to apply the method to credit portfolios as well. In concrete terms this means dividing the loans according to business field and finding, for example, that they fall into three fields, real estate, IT companies and pharmaceuticals, with one third in each. The Bank's management considers that, in view of an increased risk, the proportion of the IT companies should be reduced from 33% to 28%, whereas the pharmaceuticals' situation has improved, so their share should be increased to 38%. It is now up to the management to persuade the branch offices to achieve this kind of result. This requires firm guidance by means of quotas, target figures or the like. Action like this is definitely not compatible with our model, according to which the offices individually assess credit applications on their own merits and the risk of an industrial crisis is included, among other factors, in the total assessment of the customer. Thus the analysis method is in conflict with the principle of decentralisation and cannot therefore be used in the Bank.

If I were to discuss my criticism of this method in more detail insofar as it concerns the assessment of a portfolio of company credits, it would take too long and be outside the scope of this book. Let me, however, indicate my arguments.

Portfolio analysis involves dividing loans into groups in which companies in each group may be supposed to suffer in similar ways from "a branch crisis". A decisive factor is finding groupings that are relevant when crises occur. It is typical, however, that serious crises are those that have not been foreseen, so there is a risk that a particular risk was not calculated with when choosing the grouping.

In addition it is evident that the risk of the Bank suffering a loss varies greatly between the companies in the various groups. This variation will depend on the company's financial strength, the ability of the management, what kind of owners the company has and what securities the Bank has. It is such factors and the ability of the Bank to take them into consideration, more than the type of business or industry, that determine the Bank's real risk.

The property crisis of 1990 led to very large losses, but they varied greatly among the banks. It might have been expected that the banks with a high proportion of property credits would have major losses and vice versa for those with a lower proportion. But this was not the case. Those that suffered heavy losses did not have a particularly high proportion, but they had the wrong credits, that is, low-quality credits, which illustrates what I have already said.

The power of advertising

As pointed out above, the Bank does not organise any central marketing campaigns except in very special cases when there is a real innovation that needs to be brought to people's notice. The reason is that any other approach would contradict the principle of decentralisation, but also a conviction that image-creating advertising does not have any real effect.

Advertising designed to spread information about a product or a service that is new or noticeably different from those of competitors is quite a different matter. Considering that we bankers have been developing our product range since the 15th century, we do not manage to do this very often. But if we do, we must tell the consumers about it. The same applies to price reductions. And we also need to give information about our product range.

Most bank advertising, however, is of a different kind. It aims at showing that a particular bank is especially friendly, helpful, considerate and innovative. It is reliable, has very long experience, is the whole nation's bank or at last Smalltown's Bank in particular. In order to tempt potential customers to experience all these joys they are offered a pen, an umbrella or a piggy bank. Nor does a great deal of advertising aim to do much more than highlight a logo in advertisements, on posters, round ice-hockey rinks and football pitches and wherever there happens to be an empty space. Large sums of money are also spent on giving logos and signboards an up-to-date graphic design.

In my opinion much of this is wasted money – which I base on the practical experience and research I have been involved in.

At Sundsvallsbanken we were surrounded by the advertisements of our major competitor, Handelsbanken. In comparison, our small advertisements were like the squeak of a mouse against the roar of a lion. This did not worry me particularly and we more or less gave up squeaking. The bank's staff were worried, however, since they could not rid themselves of the idea that big advertising campaigns must result in flocks of customers leaving us for the competitor across the square.

Why should Handelsbanken invest all this money in advertising if it did not pay, they asked themselves. All the big companies did the same and all of them seem to be in agreement about the enormous power of advertising. You can sell almost anything with cut-throat advertising. Even "tinned porridge", as the saying goes.

When later we changed Handelsbanken's policy, I met the same anxiety. Several in the new management team came from companies that believed blindly in advertising.

The research I was involved in was a major study of how consumer demand for different kinds of goods changed with time. It showed that these changes could be entirely explained by how the price of a certain type of goods developed in relation to the price of other goods and how the consumers' incomes changed. Throughout the period covered by the investigation the consumers were subjected to massive attempts by private companies and by the state to change their pattern of consumption. In particular they were encouraged to spend more of their increasing income on housing.

But there is no trace of this in the material. As far as housing was concerned, there was no effect until the politicians lowered the price, that is, introduced subsidies. There was, however, one small exception: Dior's launch of "the new look", the dramatic change in skirt length. This had an effect on textile consumption. But this was not a question of advertising, it was a change in fashion, and such changes have been taking place since long before modern advertising was invented.

Thus my conclusion is that consumers are sensible people who think objectively when judging offers. For them, price and quality are the decisive factors. The fact that a bank claims in its advertisements that it is friendly is uninteresting. What is important for customers, however, is whether they really experience friendliness, consideration and competence in their contacts with the bank. For bank services this is a very important part of "quality".

Consumers are not a flock of sheep who, mesmerised by advertising, can be pushed around as you like. Yet the critical articles written by radical highbrows about advertising presume that the public are a flock of sheep – and this unintentionally gives advertising agencies helpful support in their marketing. Nor do these producers of advertising run the risk of being harassed by mass media campaigns implying that advertising in their particular newspaper or television channel is more or less pointless. In view of the fact that the survival of their newspaper or television channel is dependent on advertising revenue, that would be asking too much.

Do you live as you teach?

In recent years I have often given lectures at training conferences for controllers in Sweden and not least abroad. Here they are taught by experts the latest about steering methods. It has surprised me that organisers have been so eager to invite me to speak at these events since my message is that the greatest service the participants can do for their company is to forget what they have been taught and go home and dismantle a good deal of their activities. My lecture might be entitled "The Controller – vital or deadly dangerous?" and the answer is the latter. The organisers are well aware of my opinions but they evidently believe that it is valuable for the participants to listen to criticism and practice their powers of argument.

Objections from the audience are not that I am wrong – most of my criticisms have been accepted by now – but that in fact we are more centrally controlled at the Bank than we say. Many of the services sold by the branch offices, investment funds, for example, are centrally produced. Our operational plans are not all that different from their modern budgets. Our currency trading and contacts with foreign banks and financial institutions are obviously also centralised, as is the management of the large capital invested in various funds. Does not the work of the central planning committee in fact mean strongly centralised control? Are there not in reality internal instructions to ensure that the Bank's pricing policy – the rates of interest we charge and offer and the fees we charge – are the same at all offices?

My answer to all these objections is, firstly: Decentralisation is our leading principle, but we must not be impractical dogmatists. In itself it would be quite conceivable to let each of the regional banks have its own currency trading department, but that would be both impractical and ineffective. In actual fact a few regional banks had their own currency trading sections at the beginning, but it was quite clearly shown that this was not the best solution.

In addition, what is totally decisive is the spirit in which the work is performed. Our line is expressed in the rule: If there are reasonably similar alternatives, always choose the decentralist one. Two organisations may look alike on paper but in reality they can function quite differently. Reality is shaped by all the small, everyday decisions and the spirit in which they are made.

As for pricing, there are no central directives apart from those I have already mentioned concerning the interest rates for certain types of accounts. However, when it comes to the wide range of charges, this is a truth with some modification.

Traditionally a bank's costs were covered by interest-margin payments; there were few transactions and the sums involved were large. The introduction of salary payment by cheque in the 1960s and later of credit cards and Internet payment led to a very great increase in the number and type of customers and an explosive increase in the number of small transactions. As in other areas, a small minority of customers accounted for the overwhelming majority of these transactions. To cover these costs in the traditional way by increasing the interest margin would obviously be a gross injustice to the great majority of customers who made few transactions.

The fair solution was transaction charges, which were introduced to an increasing extent during the 1970s. The customers reacted strongly and so, surprisingly, did the Bank Inspectorate. Having to pay the equivalent of one pound for a previously free service aroused heated feelings, while an increase in the borrowing rate of 0.1% led to no reactions at all. Nowadays the system of charges is generally speaking accepted – and many of them are debited automatically and uniformly in the Bank's computer system. However, the branch offices are fully entitled to make departures from the system. And they do so, too, above all by letting customers who do a great deal of business that is profitable for the Bank not pay certain charges. It is nevertheless evident that technology in this field has had a centralising effect. It is awkward to make alterations in the systems, and changes in the general charges have to be made centrally, of course.

The advantages of large-scale operations

In other contexts questions of the type listed above are formulated somewhat differently. They might sound like this:

"You speak so warmly of the advantages of decentralisation, but haven't you stopped half way? Why don't you let the regional banks be completely independent units and put them on the stock exchange? Are there possibly considerable advantages to be gained from large-scale operations that you would then lose? If that is the case, perhaps you should consciously aim to expand in order to gain those advantages."

But we have no plans to launch the regional banks on the stock exchange. Why not?

Before I joined Handelsbanken I was Managing Director of an independent bank, Sundsvallsbanken, as I have already mentioned. It was about the same size as a regional bank. We competed successfully with Handelsbanken, which was ten times larger than us, but of course we had good reason to ask ourselves whether we could be even better and more effective if we grew in size. One natural method would be to merge with one or more of the other provincial banks. That was the way the provincial banks chose at a later date. None of those banks exists any longer.

It costs about the same to write programs to deal with transactions for one million accounts as for 10 million or 1000 million. Moreover, quite large volumes are required to be able to utilise the most effective computers. Didn't Sundsvallsbanken miss such evident advantages?

We solved the problem of computer operations by combining with other companies to get a sufficient volume. That worked well.

The arguments concerning the advantage of size for program production may seem attractive. And it is evident that there is no upper limit for the advantages of large-scale operations when you consider these kinds of argument. It also provided food for thought that at Sundsvallsbanken, with our very limited resources, we had no difficulty in creating the programs we needed. When I moved to Handelsbanken I found out that some of Sundvallsbanken's programs were in fact better than Handelsbanken's.

Foreign business was a field in which I imagined our little bank would have difficulty in competing with the big ones. However, we found a specially talented person at the bank and recruited an external specialist. To my surprise we succeeded to some extent in taking market shares from the big competitors in this field too.

In one respect, however, Sundsvallsbanken's size set a very clear limit. We could not deal with credits above a certain volume. Our capital was too small. We tried to solve the problem by sharing with other provincial banks that we co-operated with. But this did not work out so well since it was not only the volume but also the risk that we had to share.

So we had to accept the fact that we had to decline the really big credits. However, this did not mean that we had to decline to do business with the largest companies; in fact, we got many new customers in this category, because all companies have a natural desire not to be dependent on one single bank but to be in a position to play one bank off against another. Thus even minor banks can be interesting for a very large company. Our successes on the large-companies market were also one result of our flexibility. We used to say that in the time it took Handelsbanken to react once, we managed to react three times. It is also obvious that a bank that has ambitions to deal with even the largest credits as well will have no limit to the extent it needs to grow.

What, then, are the conclusions I draw from these few examples of my practical experience?

It is easy to construct attractive-looking mathematical arguments showing the advantages of large-scale operations, but it is more difficult to illustrate their disadvantages just as easily. They are symbolised by words like rigidity, slowness, bureaucracy, lack of transparency and so on. Vaguer, yet just as real in their effects.

"Cutting your coat according to your cloth" is an old saw. It may often be just as profitable to consciously limit the market you are aiming at. A finer expression for this is "niche strategy".

Breaking up the Bank and putting the regional banks on the stock exchange do not seem particularly wise strategies, because they would lose the obvious advantages they enjoy at present. On the other hand, there are gains to be made in the form of increased flexibility, greater powers of initiative and so on, but it is precisely these advantages we believe we get at present in the form of our decentralised organisation. We do not abstain from the obvious advantages of large-scale operations as a matter of principle.

6. Budget control

Historical background

Budgeting is a very old part of public administration. It is the natural consequence of administrations and government agencies financing their activities by appropriations from various ministries and the like. When, in the 19th century, local government began to expand, laws were passed obliging the municipal authorities to draw up an annual budget. In the same way institutions that are dependent on grants for their activities often draw up budgets. Associations, for example, do so because their members have a natural need to know what the money is to be used for before deciding how much the membership fee should be for the coming year.

In all these cases the type of budget concerned is mostly a costs budget. But in many cases it is also a revenue budget. Agencies and authorities charge those who use their services fees, and an association may have income from the sale of publications or the like.

Budget debates are between people who want grants arguing that they need to be raised, as a result of increased costs, for example. Otherwise they will be obliged to cut back on their activities. Instead their work should be developed since they quite naturally consider that what they do is of the greatest importance and value to society. On the other hand, the authorities granting appropriations listen with great suspicion to these arguments and point out that, for various reasons, it is not at all necessary to raise the appropriations but instead increased costs should be met by rationalisation; they also ask whether certain activities could not be simplified or even closed down.

In other words it is a negotiation game. The two sides argue their cases with a strong feeling that they represent communal interests. To win the game, as in all negotiations, it is vital to put oneself in the opponent's shoes and make the right moves.

This sort of game often results in very detailed budget proposals. The details give those who are to make the grants a feeling that they have real control of the costs. In public administration the demand for detailed specifications has often gone to extremes.

When I was a member of the Board of the University Chancellor's Office and of the Swedish Broadcasting Company, and later when I was Chairman of the Swedish State Railways, I was able to see how the game was played and I also took part in it. The applications for grants were massive documents in which costs were specified down to the consumption of toilet paper, to take an extreme example.

Like other government bodies we at the Swedish Broadcasting Company handed in a thick pile of papers in the early autumn as a basis for our demand for increased funds during the coming budget year, which began the following summer. Anyone who studied these documents could quite clearly see what the money would be used for, down to the smallest detail. Naturally those who examined these thousands of figures could put a question mark here and there and claim that some expenditure or other was not really necessary, but that was like attacking a mountain of earth with a gardening trowel. The results would be meagre. Moreover, this material did not give much guidance about the fundamental meaningfulness of various activities and whether the organisational structure of the production system was effective.

At the Swedish Broadcasting Company we believed, of course, that we should expand our activities and make more and better programmes, cover new fields and so on. At that time there was a kind of rule of thumb that an increase of about 10% in the grant could be reckoned on every year. So we asked for an increase of 15%. It was important for the Ministry to be able to knock the sum down so that they could feel that they had done their duty. But it was also important that they did not knock off more than 5%. A certain natural order of bargaining ought to be evident in the proposal. When the Ministry's officials were getting close to 5%, it was vital to make sure that what was on the borderline was unpleasant to deal with. We used to say jokingly that on the borderline there should be items like "special programmes for handicapped gypsies".

This extreme wealth of details in public reports and budgets is not unique for Sweden but an ancient phenomenon widely distributed across the world. Energetic people with a strong desire to realise their ideas and plans quite naturally feel frustrated when their activities get bogged down in the relentless demands of detailed budgeting. The "number crunchers" seem like unimaginative and unfortunately anything but harmless reactionaries.

The Duke of Wellington gave famous expression to this reaction in a report to the British Army authorities in London.

In his battle against Napoleon's seemingly inexhaustible armies and in enforced co-operation with feeble-minded and megalomaniacal Spanish generals he could be seized with feelings of bitter resignation at the irritated questioning of the accountants in London. In one of these moments he wrote the following report to his masters in Whitehall:

"Each item and every farthing has been accounted for with two regrettable exceptions. Unfortunately the sum of one shilling and nine pence remains unaccounted for in one battalion's petty cash, and there has been hideous confusion as to the number of jars of raspberry jam issued to one county regiment. This reprehensible carelessness may be related to the pressure of circumstances, since we are at war with France, a fact which may come as a bit of a surprise to you gentlemen in Whitehall. This brings me to my present purpose, which is to request elucidation of my instructions from H.M. Government, so that I may better understand why I am dragging an army over these barren plains. I construe it must be one of two alternative duties, as given below. I shall pursue either one with my best ability, but I cannot do both. (1) To train an army of uniformed British clerks in Spain for the benefit of the accountants in London, or perchance (2) To see to it that the forces of Napoleon are driven out of Spain."

I can well imagine that many people share the Duke of Wellington's feelings when they receive little understanding for the importance of their work from the niggardly authorisers of grants.

As government activities have increased in scope, budget methods have also been developed in an attempt to meet the criticism directed against them. This has led to concepts such as overall budgeting, and management by objectives instead of budgetary control. Public budget work has become an extensive field of research in business administration as well as providing a rich area of operations for consultants.

Developments in economics during the 1930s, with John Maynard Keynes as the great international name, led to a desire to provide accounts for the whole of the national economy. These accounts aim to present a picture of the size of the total production of a country, the gross national product; what activities account for this production and how it is then used for various purposes. A natural second step is to try to calculate not only how large the production has been but also how it will develop in the future; in other words, to construct a national budget for one or more years ahead. This development was helped by the fact that, during the Second World War, limited resources had to be rationed and a kind of command economy had to be constructed. Under the influence of these experiences and inspired by what seemed to be the successful planned economies of the Soviet Union, other Eastern European states and China it was natural for Sweden and many other countries to try to plan and steer the total national economic activity in a purposeful and rational way and establish concrete economic five-year plans.

Then as now large-scale migration from rural areas in Sweden was a major problem for the rural districts that lost inhabitants at the same time as the municipalities that received this stream of people were also facing problems. By means of effective regional planning the authorities wanted to manage this transformation and create attractive areas in various parts of Sweden with houses and work places organised in functional units.

I can still remember the enthusiasm that we young social scientists felt when, like social engineers, we tackled the task of creating humane living conditions for the whole population. Since I had studied migration from the Värmland forest districts in my doctoral thesis, I became involved in this work within the framework of "The Association for Social Planning" One result of these ideas was that the counties were obliged to draw up regional plans.

Later I became head of the Industrial Research Institute which dealt with long-term social planning, and the first five-year plans for the Swedish economy were made by the Institute. Gradually this work was taken over by government bodies, but my last responsibility as a researcher and as Head of the Institute was to supervise the industrial part of the 1960 long-term report. Here I reported forecasts for the development of Swedish industries for the period 1959–65.

Behind all this social planning and forecasting lay a clear belief that we were able to predict the development of factors steering the national economy and to guide these forces towards the goals we wanted to reach. This belief culminated around the end of the 1960s. A kind of zenith is represented by the fact that the Secretariat for Future Studies was created in 1971 with the aim of providing, by means of research and investigations, a picture of profound and long-term changes in Swedish society as a basis for practical policies.

Much of all this is history now. The regional plans, in as far as they are still produced, collect dust in the county administrations' archives. Long-term plans have become long-term planning committee reports and resemble scientific research reports in which possible changes in various economic variables are presented and discussed and how these in turn might affect the overall economy. The Secretariat for Future Studies has become our institution which, under the humanistic title "Mankind in the Future", discusses not only the effect of changes in population, employment and the distribution of income but also themes such as citizenship and future institutions. Regional planning has in turn become a matter of continuous discussions of possible future developments.

The fire of enthusiasm has fallen to ashes. The reason is not only horrible foreign examples of the human consequences of far-reaching social planning but also depressing Swedish experiences of the feasibility of making reliable forecasts.

Planning and budgeting in business

Private business developed modern methods of book-keeping and budgeting much later than government bodies. As a rule companies had a few owners who were in close contact with day-to-day production and felt little need for annual accounts. Instead they made do with trying to check how the money flowed in and out. The greatest problem was dealing with seasonal variations. For Swedish sawmills and ironworks the money came in during the navigation season, whereas production on the whole continued throughout the year. Managing the cash flow problem that resulted from this state of affairs was something they had long experience of and had found ways of solving.

It was not until the beginning of the 20th century, when limited liability companies had begun to appear and wider ownership had become more common, that there was an obvious need to draw up profit and loss accounts and balance sheets in standardised forms. It took a long time for this to be accomplished, and in fact it was not until 1929 that Sweden got its first real accounting legislation.

Annual budgeting of income and costs was a much later phenomenon in business life, not only in Sweden but abroad as well. Modern company budgeting was created in the United States in the late 1920s by two legendary company managers, Alfred P. Sloan and Pierre Du Pont. Sloan had so to speak inherited a number of car factories from his predecessor, who had bought them up. In order to gain the advantages of large-scale production and adapt to a falling market he had to co-ordinate production at these factories. The managers of the factories were a number of self-willed entrepreneurs who were not really interested in co-ordinating their production. A budget was a means of forcing them to accept this, and Sloan succeeded in creating the corporation that has dominated the world of automobiles ever since, General Motors. His friend Du Pont did something similar for his group of companies. Their systems later dominated the teaching at the leading American business schools and from there the ideas spread all over the world and have ever since been a self-evident and fundamental feature of the teaching at business schools in every industrialised country.

In Sweden these ideas did not begin to be applied until after the Second World War, starting in manufacturing and continuing in the service industries. In banking budgeting did not begin in earnest until the 1970s. Up until then the management teams in industry had been dominated by engineers and lawyers who had a university education. Now the economists began to gain ground and they had been trained to prepare budgets, whereas the technologists saw budgeting as a distracting element in their real work, which was to produce.

Developments led to budgeting becoming more and more detailed, which made demands on a corresponding detailed reporting of the accounts which provided the basic material for the budget work. If one studies the reports that American subsidiaries in Sweden have to send to their head offices in the United States, one can see that the amount of detail is now in the same class as for the government department budgets.

In public affairs budgeting was a result of the need for the authorities who granted funds to know what the money was going to be used for and the desire to keep a close eye on costs. In companies that work within a market economy there are no "grant-awarding authorities" and it is to a high degree uncertain what the future income will be. What caused the change was the need to create a structure for co-ordinating and planning activities in the giant companies that were growing up in the United States.

Nowadays it is more or less self-evident in the whole industrialised world that a well-organised company needs a budget and almost everybody finds it extremely difficult to imagine how it is possible to manage a company without one.

The meaning of budgeting

In a market economy a company budget is a document that presents an assessment of what the company's profit and loss account and balance sheet will look like at the end of the financial year. This forecast can be developed so as to cover not one but two or three years.

The estimates of the various items in the profit and loss account are in turn based on corresponding estimates made by the various accounting sections in the company. The managers of these sections have sat down during the autumn or perhaps even earlier and tried to assess the size of the demand they will meet in the coming year, the prices they will be able to charge, and the costs they themselves will have for their production. They rely on their own experience and judgement but are also, of course, highly dependent on the total market demand and general price, interest, currency and pay developments.

It is in particular difficult for them to estimate how these external factors will develop, so it is normal for the central management to give them certain assumptions that can form the basis of their budget work. The central management has in turn taken these assumptions and forecasts from institutes like the National Institute of Economic Research, banks, trade organisations, the national budget proposals, various experts and so on.

The climax of this budget work is to reach an estimate of the result of the coming year's activities. This result, however, is influenced by measures taken during the year that affect the profit and loss calculations for many years ahead. The typical example of this is investment decisions, so it is only natural to make a special investment budget.

It is important not merely to work out what the final result will be; the way to this goal is also important. A concrete example of this is the liquidity that is the result of the cash flow in and out. Even though the final result is satisfactory there might very well be considerable cash deficits during the year. This is just to take a few examples of the need to break down the real situation behind the estimated balance sheets. Normally a number of development projects are in progress in a company, which may stretch over just a few weeks or up to several years. These projects mean that resources are taken away from the ordinary activities. This is another example of what has to be reported separately, so it is obvious that a modern and complete budget plan results in an extremely detailed and extensive document that takes a long time and a great deal of work to prepare.

The origin of budgeting in private companies was the need to be able to control and direct extensive and multifarious activities, and this is still to a high degree the aim of budget work. However, budgets are also an attempt to gain a overall view and see a pattern in a reality that is hard to predict, thereby getting a basis for planning and managing the work of the company over the long term.

The results that emerge from the budget process in a company are in the first place the calculated effect of the presumed development of internal and external factors. On top of this are laid the results of various measures planned to counteract negative trends and utilise positive opportunities. The final result is each department's estimate of what can be achieved in the prevailing circumstances.

This estimate is handed over to the superiors and eventually arrives on the Board of Directors' table. The superior bodies have a natural tendency to try to raise the odds and claim that it ought to be possible to achieve a better result. The budget proposal is returned and the unit is urged to come back with something more satisfactory. During this process the budgeted result is transformed from being an estimate made with the best judgement available to being a commitment and a goal to be attained. Those who draw up the budget realise this, of course, and exactly as in public administration the effect is a game played between different levels. Those who are to scrutinise the budget and judge it feel satisfied if they manage to push the budget figures up. They have done a good job. So it is only natural if those who make the budget initially cut it fine so that in the second round they can increase it without making too heavy a commitment. This is particularly apparent if the budget is also used as a basis for the payment to managers of various units. They get a bonus if they reach their budget and a higher bonus if they manage to exceed it.

Modern budgets have developed from being control instruments to becoming both a plan and a goal for the company's work. They have become not only a bridle and reins but also a carrot. In other words, they serve several purposes.

The budget process as I have described it is something like building a house from the foundations, starting with the fundamental future assessments and then working up to laying the roof in the final stage so as to get a complete building. But this work can also go the other way round, beginning with the roof and working downwards, which is obviously a more awkward method. Certainly some supporting pillars will be needed. This reversed approach means that, bearing in mind the general views of what is at all possible, the management decides that the profit for the coming year will be £55 million or that the yield on capital will amount to at least 15% or something like that. The task for the various units in the company will then be to work out how they can draw up a budget that will meet such targets. This approach may seem rather hazardous, but it is far from unusual that what is done in practice is a mix of the two systems. The highest level of management imagines that, by setting more or less unattainable goals in this way, it will force people to think along new lines.

I once experienced at close quarters how it is possible to achieve very good results in this way. My post-doctoral thesis was a study in depth of the way the car market functioned in Sweden and other countries, the United States in the first place. In the mid-1950s Volvo was a small Swedish car manufacturer that produced cars for the rapidly expanding Swedish market. Gunnar Engellau, who was the Managing Director of Volvo, had the idea that it ought to be possible to export Volvo cars to the great American market. I was called in as scientific expert to give an opinion on these plans. Engellau believed that Volvo cars could be sold in the United States because they were not more expensive than their American counterparts and in addition used far less petrol. I explained to him that the idea was totally wrong. All he could hope for was that a Volvo could be the American family's second or third automobile. The competition he would meet in this case would not be from new cars but from used ones, and these were cheaper than Volvos and could be bought on the large, well-organised markets for used cars in the States. Admittedly Volvos used less petrol but that was of little importance because petrol was so cheap at that time. Gunnar Engellau did not attempt to argue with me and seemed quite uninterested in my views. Later I realised that he was tackling the problem in a completely different way. He believed that Volvo made very good cars and it would be a crying shame if they could not sell them on the enormous American car market. If it could not be done one way and with his arguments it would have to be done some other way. The important thing was to try one's damnedest to do it. I was wrong and Gunnar Engellau was proved right. The Swedish people's car was sold on the American market, not because of its sturdy reliability but as an exclusive product that appealed to a sophisticated minority. But a minority in the States means an enormous number of cars.

The controller function

The most important task by far for a company's accounting functions was for many years to look after the book-keeping and on its basis draw up a balance sheet and deal with all the difficult questions of valuation that arose from it. Then budgeting came into the picture, and with it the need to check the actual developments against those forecast in the budget. Constructing a company's budget and then checking it and analysing why it differed from reality is a central responsibility for the person who in American terms is called a controller. This term and its function were invented in the United States in the early 1930s and were logically connected with budgeting, which was becoming common in large American companies. However, this function did not mean just following up and analysing developments; it has grown to be something much more sophisticated. It has become evident that the information in profit and loss accounts and balance sheets can be used to construct a model of how a company hangs together financially. A model of this kind shows how a company is affected by various changes in interest rates, what the effect will be if customers delay their payments by a day or two days and so on. The accounts also provide material for cost calculations for products and services; and analyses of how the profits are made provide a basis for defining goals and methods for measuring strategic factors. All this falls within the scope of the modern controller function, which plays a central role in most companies. The basis for the work of the controller is to a large extent the budgets and the work associated with them.

The old accountant who had his work cut out keeping a check on the firm's business transactions and making sure that they were entered in the books correctly has been replaced by the university-educated controller, at the same time as much of the old accountant's work has been taken over by computers. It was a hard and time-consuming job for him to produce a semiannual account, while computers can quickly produce a balance per month, week and day.

If you have produced a picture – a model – of how the economic factors in a company are interconnected, it provides a starting point for the extensive planning that is essential in a large company. If, for example, a completely new model of car is to be produced, it will take perhaps three to four years from the formal decision before the new model is actually on the market. It is not merely a matter of constructing it in all its details but also of organising its production in the company's own factories or of getting parts from various sub-contractors. All these steps take time. Developing methods for this planning work and in certain cases carrying it out is a responsibility that falls on the controller and the planning engineers. In this case, too, it is budget work that is the natural starting point for developing methods and ways of thinking. However, this is not the same as saying that planning and the construction of a company model presuppose that result budgets have been drawn up, but they have provided important guidance on the way.

Budget criticism

The fact that the annual budget and its various parts have become the completely dominant steering instrument in the industrialised world does not mean that it has not been and is not criticised. The very high cost of drawing up a budget has been pointed out, as well as the time it takes from more productive work. A common estimate is that in modern companies the management devotes 20 to 30% of its time to the budget and planning process.

The advocates of budgeting reject this criticism by pointing out the educational value for those involved of having to work through all the stages up to a completed budget under the leadership of the controller function. For their part the critics do not deny this value but point out that once those involved have won their insight they do not perhaps have to repeat the whole process year after year. Once the grafted shoot has taken it no longer needs to be bound to the tree with twine.

In Sweden as in many other countries the introduction of budgeting was a rather slow process. The production and marketing departments were not very interested because budget work was something that prevented them from doing their real job. However, as the drawing up of a budget has become more and more a self-evident part of a company's work, no alternative has seemed possible. A feeling of resignation has taken over. Nevertheless, the criticism is still there under the surface and at times it emerges in the form of investigations showing how much time is devoted to budget work in various companies. Investigations carried out in countries like the United States and Germany, which are particularly fond of budgeting, reveal frightening figures. Now and again even the accounts departments in some companies declare that they are now going to go through and cut their forest of forms in order to facilitate the budget work. The result is often no greater than after similar declarations by government authorities when criticism of the form-filling mania becomes painfully loud. As early as the 1950s I was involved in a government commission that was supposed to get rid of red tape. Since then minister after minister in government after government has declared that the time has now come for a change. We are still awaiting the results.

The critics quite often point out that the forecasts that form the basis of budget work do not hold good, and then there is no longer any likelihood of the budget being fulfilled. This criticism is met by revising the budget when deviations from the developments predicted become too large. The next step is to adopt rolling budgets which are regularly revised every other month or so. This helps to keep the budgets more in line with reality. On the other hand, it loses the budget's principal function of providing a goal for the company's work since this goal is constantly being revised, which weakens its power and clarity.

Another criticism is the fact that a budget normally states the expected result in terms, for example, of dollars and cents, that is, in absolute terms. It has been suggested instead that relative figures should be used, that is, the result in relation to an average for the industry, or something of the kind. This criticism also applies to the goals for parts of a company's work that are provided by a budget. In this case, too, the performances of other companies in the market can be used. This type of criticism is met with comparisons that are usually termed benchmarking. However, such comparisons do not actually have anything to do with drawing up an annual budget. What people are interested in is not comparing the budgets of different companies with each other but in comparing actual outcomes with each other.

Budget work is usually based on the resources a company works with and the production methods it uses. This foundation is then developed and modified to reach a final result. Critics claim that it might be more fruitful to start with the needs that should be met and then count backwards, so to say, to the resources that are required to meet these needs in the best possible way. This method of arguing and calculating is called Activity Based Budgeting, ABB. So-called zero-based budgeting is one variant of this approach. The terms ABM and ABC refer to other variants of the same approach; in these cases M stands for Management and C for Costing. Here the company's activities are the starting point. What costs do various activities give rise to? ABM leads to the questions: What should we really go in for, what activities should we give up and so on? Good company managers have always asked themselves these questions, of course, but what is new is giving them "finer" names.

In the early 1990s two Harvard researchers, Robert S. Kaplan and David P. Norton, published an article in the Harvard Business Review which has had great significance for developments. It was entitled *The Balanced Scorecard – measures that drive performance* and was followed by several more articles as well as a book by the same authors. The "balanced scorecard" has now been adopted as part of the standard repertoire of steering and controlling instruments in large companies. This instrument is said to be used in a more or less modified form by about 50% of all major companies in the United States and Europe. Something like an industry has grown up round the concept. The Balanced Scorecard has been discussed in countless publications and regularly forms an important part of conferences and courses at which various types of economic steering are taught. In some of these events the organisers have been happy to have the authors as star speakers and attractions. Kaplan is now a professor at Harvard and Norton runs a consulting agency.

The thought at the back of the balanced scorecard is simple and obvious. The usual financial reports in the form of profit and loss accounts and balance sheets only give part of the truth about how a company is doing and what its future looks like. The annual profit can show a very good return and be higher than the year before when in fact the situation is alarming. This is because the profit has not yet been affected by a general feeling of discontent among the company's customers, a feeling that may be caused by poor customer relations or poor product quality, faults that have not yet been expressed in higher costs for returned goods and the like.

The staff might have been under heavy pressure, which has resulted in rising overtime costs but has not yet affected the result in the form of increased absence due to illness and key personnel leaving the company. New ideas, new methods and new products are perhaps at a low level, but the company is still thriving thanks to earlier achievements and old products. The negative environmental effects of the company's production methods as well as its products have not yet been noticed but are in fact a ticking bomb.

A company's activities can be studied in this way, revealing that steps need to be taken if the company is not to face a dismal future. What the balanced scorecard tries to do is to analyse a company's activities to find out what is essential for the company and the market it is in, but whose situation is not reflected accurately or even at all in conventional accounts. Thereafter attempts are made to find ways of measuring the situation in various respects, by means of attitude research among customers and personnel, information about customer loyalty, staff turnover and so on. The next step is to set up goals to ensure that these values will improve within one, two, three or more years. These values are then weighed to reach an overall figure that is to be reached, which is the balanced scorecard. In other words it is a matter of complementing the traditional budget work with a number of factors. In these cases it is often reasonable to think that the desired changes may take several years to accomplish.

That it is necessary to take into account factors that are not usually included in traditional financial reports is something that competent businessmen and managers have known for many, many years. What is new is the creation of a form for analysing a company's activities from such angles and for finding values that can be used practically. The goals that are to be attained will thereby become more detailed, which further restricts the local units' freedom of action.

Another type of the criticism of accounting and of the budget work based on this accounting is that the profit concepts in use are misleading from the shareholders' point of view. In this context the concept of Economic Value Added (EVA) was launched. The idea is that it is only when all the capital in a company is charged with a "normal" capital cost that any surplus value arises for the shareholders, a real increase in their wealth. Profit and loss accounts should therefore include yet another item corresponding to "normal yield requirements" on all the capital that is not borrowed externally or has the form of concealed reserves, consolidated funds and the like. This results in the usual profitability figure being reduced considerably, in many cases falling more or less to zero. Those who advocate this method claim that it is important to have such figures. If they are below zero the shareholders ought to be able to draw the conclusion that the activity should be wound up and the resources used to better purpose elsewhere. One weakness of this approach is, of course, that it is quite difficult to know what you mean by "normal yield requirements".

The methods of analysing and targeting different parts of the reality that is represented in the accounts and predicted in the budget figures have gradually become more and more sophisticated with the use of advanced mathematical techniques and models. They have provided instruments symbolised by concepts like variance analysis and portfolio analysis; powerful and centralising tools in the hands of the initiated.

The accounting, steering and control systems of private companies may be compared to a temple whose heart and most holy place is the budget. As a result of critical views and theoretical advances, there has been created round this holy heart an impressive complex of extensions and annexes, decorations and beautiful colour schemes. This complex is growing all the time at the same time as the old cathedral is refurbished. The high priest is the controller and its guards are all the curates and pastors who work within his great and, not least in American companies, mighty function. It is this priesthood that sets goals and constructs target figures and control instruments for the various units of the movement on the basis of the budget and the accounts. Thus this central control system in reality makes it impossible to decentralise properly.

The fundamental error

All these modifications and repairs to the budget system do not imply a reassessment from the start of budget steering and the power position that the controller and the controller function has in modern companies, nor of the concept underlying the complex. In my opinion this concept has one fundamental error.

A budget is a forecast, a prediction of what incomes and costs, and hence what profit or loss a company will have in one, two, four or even more years. It is also a goal that it ought to be possible to reach with reasonable efforts. Underneath it all are the forecasts for the various sums that together add up to the profit and loss account. That is the situation, whether the forecasts have been specified or not.

During the 1950s I was attached, as mentioned, to the scientific institute that led the field in matters concerning long-term forecasts for various economic variables. We made forecasts for the consumption of various kinds of goods, the development of different industries and the future numbers of television sets and cars. I myself was responsible for these last two types of forecast. We also made forecasts for the overall political-economic categories that were used when planning the long-term development of the whole of the Swedish economy.

Our work was greatly appreciated and our figures were reported regularly in the mass media. The market for future forecasts is very good. My forecasts about the numbers of television sets and private cars revealed a development that far exceeded the usual notions. In both cases they proved to be very accurate. This led to the belief that I was in the pay of the television industry and to my being frequently invited to lecture at car-dealers' conferences. The car manufacturers were grateful for any support in their struggle to get the dealers to take in new cars to an increasing extent and in good time.

The forecasting methods we used were in principle of two types: one comprised new goods on the market and the other the rest of the product range.

Regarding new goods it is well known that they follow an introduction process that has a certain mathematical form and is comparatively similar for different countries and times. This was the method we used for television sets and cars since there were other countries where these products had already been introduced – for cars not only the United States but countries closer to Sweden in economic respects like Australia and New Zealand. For television sets Britain was a natural country for comparison. This method is relatively reliable as well as straightforward. It is used for predicting the future numbers of these types of product owned by households, from which sales forecasts can then be derived. Unfortunately it can be used for only a relatively small number of products. For the majority of products and services the analyses were based on what influences consumer demand. As I have already mentioned, this is determined by the development of the income that consumers have at their disposal and by the way the product's price has developed in relation to the prices of other goods. These price and income elasticities, as they are called, can be found by seeing how consumers have reacted to past price and income changes and by comparing the consumption of consumers in various income brackets. Another possibility is that the demand for different kinds of goods is influenced by advertising. However, we discovered no noticeable effects, as I have pointed out before. The exception that proved the rule was Dior's launch of "the new look".

The next step is to ask oneself what determines the development of income and prices and then work backwards down the causal chain. The final result is an impressive and complicated model that utilises sophisticated mathematical methods. But when working backwards, sooner or later one comes to a full stop. It is impossible to get any further, so one is obliged to make basic assumptions partly on guesswork. When one makes such assumptions one does not have much to rely on except the way in which the decisive factor has developed up to the present; one has to presume that it will continue in a way that has some connection with this historical experience. This means that all forecasting, however sophisticated its methods, is in reality nothing more than a projection of our historical experience onto the screen of the future. There is no possibility of doing it differently. We cannot *know* anything about the future. But that means that if something happens that we have no previous experience of, for example what happened on 11 September 2001 in New York, or something that we consider quite inconceivable, like the fall of the Berlin Wall or what we had forgotten in 1990, namely the collapse of the Swedish property market in the early 1920s, our pictures of the future will be quite wrong.

If one goes through the forecasts made about the development of various economic factors – I have studied many – and asks oneself how the forecasters made their basic assumptions, two main models emerge. I call the first the "same weather tomorrow as today" model. This means that the development so far, which is illustrated by the time series at one's disposal, is expected to continue. This might be an even change of, say, a 3% annual increase or a 1% decrease per quarter or something like that. A certain pattern in the past, a wave motion, for example, might have been observed and it can then be presumed that this pattern will be repeated. Since there is in fact a considerable stability in the economic system, this type of forecast often comes true. Actually, the same is true of the weather. If you presume that the weather will be the same tomorrow as today, you will be right in a majority of cases until there is a change.

The other model is used when there is a development that the forecasters see as dramatic and a deviation from the normal. This is the kind of situation that occurs when a completely new technology breaks into traditional markets. A good example is when fully computerised telephone exchanges replaced the electromechanical ones in the 1970s or when mobile telephones arrived on the private market in the 1980s. A contrasting example is the dramatic fall in Ericsson shares at the beginning of the new millennium. In such situations the historical graph curves will start to go straight up or straight down. The forecasters' reaction is to say that this cannot go on for ever; sooner or later the development must be more "normal". It would seem irresponsible to assume anything different. If the curves are projected, they end up at unreasonable levels. Sooner or later the trend will flatten out and there will be a return to a more "normal" situation. This is only natural. Trees do not grow up into Heaven. But the return to normal can take much longer than anyone expected.

Both models might function pretty well. If the first one is used, it often turns out that actual developments agree fairly closely with the forecast. However, having a budget and a plan based on forecasts of this type means telling the people on the shop floor and in the offices that they should carry on as usual. Only we expect them, just as before, to be a little more efficient, sell a bit more, go into new markets and so on and so forth. But this is undeniably a rather trivial message, and it does not require the whole budget apparatus. It is just as easy to go straight out onto the shop floor or into the offices and tell people that we expect you to go on working as well as before and try to do your very best. This is a far cheaper way of getting the same effect than budgeting.

Similarly, with the other forecast model the message is "now we can expect the great expansion wave to be over" or something of the kind. But every now and then something happens that means the forecasts do not come true. There is a sharp break in the curves. In this situation the budget is directly harmful and the company will run the risk of getting into worse trouble than if it had no budget at all.

Naturally people believe in the budget they have made, otherwise there is no point in making one. This in turn means that there is internal resistance to abandoning the faith and admitting that one is completely wrong and the whole plan has to be thrown overboard. I have very often found myself in situations where reality starts to deviate from the predictions. The forecasters then explain that these deviations are temporary and in a while the figures will get back to normal. Sometimes they are right, sometimes they are terribly wrong. The forecast and the budget based on it have become not a prop and an aid but a fatal weapon of self-destruction.

Thus my conclusion is that, in a market economy, budgeting produces either a result that is trivial and uninteresting and does not need the whole apparatus for its production, or one that is dangerous because it can be an obstacle to making changes. In other words, I believe that this type of activity should be given up.

"I see your point, but surely breaks in the curves are rather rare. As a rule forecasts come fairly true. So isn't it worth taking the risk?"

"No. In reality such breaks are quite common."

I have already mentioned several spectacular examples of this; here are a few more. The stock exchange falls in 1987 and the spring of 2000 are well-known cases. If one studies these falls more closely, one also finds a rich collection of the tendency among experts to stick to their forecasts even though the writing on the wall was so clear, at least as it seems afterwards. Another dramatic example well known to banking people is what happened in the late summer of 1990. The major Swedish banks – Nordbanken, SEB and Handelsbanken – were subjected to a rigorous analysis by the very respected rating firm Moodys. They all got an AAA rating, which is the highest one awarded, and very rarely, too. At that time there were only 25 banks in the whole world that had as high a rating. And three of them were in little Sweden. One month later the Swedish finance company Nyckeln had crashed and we were well on the way to the great bank crisis. The three banks were certainly not triple A any longer.

There is in fact another source of error. Forecasts of demand for an individual company's products are based on forecasts for the overall level of consumption and for whole groups of products. These estimates are made by institutions like the National Institute of Economic Research and other expert bodies. As I have demonstrated in various studies these predictions are regularly full of errors. If the general level of consumption is used as the starting point, from which estimates are made about groups of goods and thence to the demand for individual products, the errors grow all along the line, while at higher levels the positive and negative errors often cancel each other out.

The need for security and planning

In view of what has been said above it may be thought strange that people in industry and in public debate devote so much time and interest and so many resources to making and discussing predictions that suffer from so many serious weaknesses.

The underlying reason must be our need to find security and guidance in an uncertain and often threatening world. We are also obliged to make forecasts when we make decisions that will have future repercussions, whether we like it or not. The prediction lies in the decision itself. If the Board decide to build a new paper mill, they base their decision on the idea that the mill will be able to repay the investment with interest during its lifetime. In this case it is an assessment of future developments that stretches over 20–30 years.

It is a similar situation when a decision is made to invest in machinery or transport vehicles, even though the period is much shorter. Thus in everyday life and work I am forced to make forecasts even though I would prefer to avoid them.

Conclusions

The above arguments may be summarised as follows:

Annual budgeting should be abolished. It makes decentralisation impossible in reality and suffers from a fundamental fault. The problems it is supposed to solve can be dealt with in a much simpler and more effective way. The previous chapter on the Handelsbanken model has described how.

As a basis for action forecasts are seductively dangerous, but they cannot be entirely avoided in connection with decisions that will have long-term repercussions, that is, various types of investments.

A few rules for making decisions about investments:

Make your forecast as close in time to the decision as possible.

Never make preliminary decisions that are to be realised at some time in the future and after a definite decision by the Board. In that case a process is started in the organisation that will be very difficult to stop. Formally one has free hands but in reality they are tied.

Realise that it is very probable that the prediction you have made proves to be wrong. Try therefore to create emergency exits. If possible do not build tailor-made offices or factories but make them generally usable. Build in stages. It may cost something to give yourself freedom of action, but it is well worth it.

Decisions about investments are often tied up with the usual annual budget work via investment budgets that sometimes stretch over several years. Such connections are unnecessary and in fact directly inappropriate. What are needed for investment decisions are calculations that on the one hand show the total cost involved over the economic life of the investment and on the other hand the savings in costs and the increased revenue it is expected to bring in.

7. Not different and not so fast

Criticism of budgeting by businessmen and business economists has, as we have seen, resulted in simplification, modification and complementing of traditional annual budgeting. Yet in essence the model remains unchanged.

Towards the end of the 1990s, however, a type of criticism emerged that seriously questioned the holiest of holies, that is, the annual budget. The research project led by Robin Fraser and Jeremy Hope and mentioned in the foreword, is an example of this criticism, as are the practical cases they report on. Consultant firms that specialise in accounting and financial steering have begun to feel a breath of fresh air and are, of course, interested in trying to utilise it, since it can bring new work opportunities. At the same time they realise that if they attempt to eradicate the annual budget, they will meet strong opposition. Those who work within the controller and financial functions are naturally enough not very interested in reducing their own power and importance. Anyone who tries to do that is confronted with "the budget bureaucracy". This consists not only of people in the company's central financial function but also of the professors and lecturers at business colleges and other educational institutions who write books describing how to refine and develop the budget function.

Others concerned are institutes that organise courses and conferences and train companies in the latest methods of controlling and steering their activities. Thus there are powerful forces facing the critics and it is a demanding task to persuade a company's management that they should radically reassess the control and steering system that they have carefully built up over a long period of time.

This bitter pill may be easier to swallow if the management accepts that the world in which companies operate has changed completely. The old methods worked well in the old world, but now, in the new information society, the management and control of a company are faced with totally new demands. Fast reactions to new conditions are required, and the belief that it is possible to plan a company's activities even for a year ahead is an illusion.

I have picked out a few typical catch phrases that expressively present this approach:

Forget what you learnt at business college. Throw your old case studies in the rubbish bin. Put aside the principles that have guided generations of managers. The new world is so complex and so uncertain that authoritarian companies obsessed with control will collapse. The foundation of success is no longer big new factories, modern machinery and high-quality natural resources but human capital. Fast reactions, imaginative strategies and tailor-made solutions are required now. Anyone in this new world who sets a fixed course and stubbornly sticks to it is doomed to failure. Nowadays what are needed everywhere in a company are committed people prepared to use their intuition and knowledge to adapt to their customers' requirements. It is vital to get close to the customers and have the ability to produce innovations all the time.

An opening address like this can make it easier to sell the new message and will appear attractive to those who have previously been fed another gospel. I believe, however, that the starting point is quite wrong.

In my opinion the problems and demands that companies and their managements meet today are not at all more difficult or basically different than the difficulties they have always met in an open market economy. It seems as if every new generation has a need to think that the time they are living in and the tasks they are facing are so very different and above all so very much more difficult that those their predecessors had to deal with. Such beliefs seem strange to anyone who knows anything about our economic history. What are today's problems compared with the difficulties people had to struggle with in the old industries in the late 19th century? Or on the other hand the fantastic expansion of the sawmills at the end of the same century when the vast northern part of Sweden became populated? This development was followed by a long period of decline and death. The gravestones are the weather-beaten foundations of closed-down sawmills. What are today's mergers compared with what happened in insurance and banking at the beginning of the last century when hundreds of companies disappeared? What are the financial difficulties that companies have to battle with today compared with the problems of the depression in the early 1920s, not to mention what happened later in the 1930s?

Another common conception is that technical progress is so much more rapid now than ever before. People point to the continuously swelling flood of reports of scientific and technological advances. For anyone who has been in the game as long as I have it is striking how often I have heard just the same story over the past 50 years.

This is more or less what people say:

"You know, right now a fundamental revolution in production methods is taking place and it is happening at an unbelievable speed. You just have to keep up with it. In three, perhaps five years factories will look quite different and if you haven't jumped on the bandwagon your old factory and your old methods will be something to dump on the rubbish tip, along with yourself."

But that is not at all how it turned out. The visions that were put about as immediate gospel truth were not fully realised until perhaps 30 to 35 years later. That was the case with what in the early 1950s was called "automation", symbolised by industrial robots.

One consequence of these concepts of rapid technical development was, of course, the belief that the recently acquired workshop machinery would soon be out of date and useless. A depreciation time of three years was common and generally accepted by the tax authorities. The research institute I was head of was given a grant by the engineering industry to investigate the life of its stock of machinery. They expected a result that would support the need for even more rapid write-offs.

We carried out an extensive study and constructed life tables for the machinery. The result was that the average life expectancy was 25 to 30 years. In reality things did not go so fast and my popularity in the engineering industry waned.

When I entered the world of banking in 1960, I was told and could read about the way computer technology would very shortly lead to the cashless society. The ancient system of notes and coins was ripe for abolition, which would fundamentally alter the activities of banks. Only now, 40 years later, can one say that some of the visionaries' predictions have been realised. That is how long it took.

In the mid-1950s the first computers were constructed in Sweden, enormous machines that filled large rooms and were called Besk and Bark. These computers were built by close friends of mine and one of them was really good. It lasted about 10 years. The banks were among the first to utilise this new technology; it enabled them to cope with large numbers of transactions that were time-consuming and awkward with the old manual methods. I myself was involved in computerising Sundsvallsbanken and continued this work later at Handelsbanken. It was a long, expensive and painful process to produce all the necessary programs and later to change and develop them. Gradually computerisation led to profound changes in our working methods when human labour was replaced by machines. It made it possible to introduce salary payment by cheque, which was later replaced by bank cards.

Computerisation has meant and continues to mean sweeping changes in the banks' working methods and the products we can provide, but they are also changes that take and have taken a long time. As usual, however, newspapers, trade journals and speakers at conferences have prophesied that computerisation will develop at a furious speed and have dramatic effects. A popular and relevant prophesy has been that technological developments and the consequent possibilities for communicating with customers will inevitably lead to the closing down of branch offices. During my time in the banking business I have met such prophesies in prominent articles in the mass media at seven to eight year intervals. Some bank managers have taken them so seriously that they have started to close down branch offices of their own bank – which they have later had cause to regret. In fact bank offices are enjoying a healthy life, which is not the same as saying that their work has not undergone very great changes. It is the same with bank offices as with bumblebees in the old story:

"According to the laws of aerodynamics bumble bees cannot fly. However, bumble bees do not know about these laws, so they fly all the same."

According to the latest reports the science of aerodynamics has now worked out how they do it. But bumblebees have not yet been informed.

Computerisation has given rise to ideas that bank employees are facing redundancy. Their work is said to be largely replaceable by computers. In the early 1980s a state commission led by a professor predicted a decrease in the work force of perhaps a quarter, but what actually happened was quite the opposite. There was an increase.

The fact that in reality developments in the computer field are slow is illustrated by what happened in connection with the millennium shift when computers were to begin to process dates that did not begin with 19 but 20. As we know, this was an extremely expensive and extensive changeover for computerised companies all over the world. It cost Handelsbanken about $ 15 million. To an outsider it must seem strange that it should cost so much to fix such a simple matter. Computer technicians ought to have been able to do it by pressing a few keys. Moreover, they should have foreseen the problem when they constructed the programs. It was undeniably an event that was not very hard to predict. However, it turned out in our case as in others that most of the programs were old ones. There were programs still in use that had been produced as early as the 1970s. The young men and women who constructed them and who belonged to the new computer generation all had a strong feeling that developments in their field were extremely fast and that the programs they wrote would certainly need to be replaced by new and better ones within two or three, or at least five years. In addition, using four figures for a year cost money. That is why it was not until towards the end of the 1990s that they began to take the millennium into account shift. So developments were not so fast in this field, either.

I am firmly convinced, after years of experience, that most things do not develop so fast, and that there are strong reasons why they do not. As a rule it is large and complex systems and structures that have to be changed if a real change is to take place. It is important to be constantly ready to make changes in a company's direction and working methods, but there is time for second thoughts. There is no need to rush into things. And most things are not as new as we imagine. We say that we live in an information society as if this was something quite new and totally different from what we have previously experienced. When the visionaries really get going, one can easily get the impression that everyone in the new society is going to devote themselves to producing and consuming information. It is almost as if information were something that can feed us, keep us warm and dry and keep out the cold and the rain. But it is difficult to ignore the fact that someone has to build houses, sew clothes and see that we get potatoes on our plates.

Today we are told that it is quite new and remarkable for us to be able to sit at home and pay our bills and order goods, but in fact it is nothing particularly new. We have been able to do it ever since the Swedish post office, as one of the pioneering companies in the 1920s, started the postal giro service, which was a great success; not to speak of mail-order catalogues from Sears and Roebuck and others. For them we have to go even farther back in time.

The whole point of technical development is that we should be able to produce more and better products per hour worked; in other words, that productivity should increase, thereby making it possible to raise our standard of living. If we do not get this effect, the money we have invested in technical development is wasted from an economic point of view. If in fact technical development was continuously speeding up, productivity should also grow at an accelerating pace. But that is not the case. In actual fact we are not in Sweden up to the level of increased productivity we had in the 1960s and early 1970s, when it was increasing by 5–6% a year. In the 1990s we were happy to come up to 2%. Nor has productivity been growing at an increasing rate in other countries. Rapid increases in productivity take place in countries that can adopt technology that has been developed earlier and is already in use in more advanced countries. It is also vital that they are in a position to transfer resources from low-productive to high-productive industries.

Company leaders are often presented as rational and coldly calculating persons, but this is a very qualified truth. Like other people they are to a great extent driven by self-assertion, prejudice and the desire to keep up with the times and not deviate from what at every moment is considered to be "in". It is obvious that fashion plays a major role in matters like company strategy. At times the word is that it is important to have several legs to stand on while at other times the right thing to do is to go back to the core activity, the company's special competence and so on. The same applies to company organisation, where new models are constantly popping up as suitable for solving the current problems. There is a constant fear of being left off the map. "When everyone takes his share, I take mine and the last man out gets nought," as the Swedish song has it; a frightening thought for many people.

I usually say that company leaders are as sensitive to fashion as teenage girls are in the choice of jackets and jeans. They are like a flock of sheep grazing on a field. One of them hears that it is greener on the other side of the hill and gallops off, whereupon all the others follow it. We at Handelsbanken usually say that it is our aim to be the little sheep that stays behind, sits down – if sheep can do that – and takes time for thought. Perhaps it is better to go off in another direction, or stay in the same place and wait for the grass to grow; at any rate, the grazing cannot be all that good where all the other sheep are grazing.

Moreover, in business life it is not just company leaders that adopt "the latest fashion" without criticism. Many people today have reason to blush when they remember their comments and articles on "the new economy". This was a vision that captured so many people's imagination that they actually put good money into it. It was like Hans Christian Andersen's fairy tale of the Emperor's New Clothes. The courtiers fawned round the Emperor, assuring him that the new clothes not only fitted him but were also extremely beautiful. But this time there was no little boy around to say that the Emperor was actually naked. Instead it was reality that knocked down the house of cards.

A keynote of the Handelsbanken "philosophy" is not to let oneself fall prey to fashion trends and to be assured that there is always plenty of time to think twice and analyse the situation properly. We leave it to others to compete for being in the forefront.

8. Visions and strategies

Handelsbanken's aim is a simple one: to try all the time to achieve greater profitability than our competitors. This is an objective that sets its mark on our work every week, every day. It can give a picture of a company that takes each day as it comes and tries to solve problems as and when they arise.

"But don't you need to make up your mind where you want to get to? Is the goal for your journey Helsinki or Singapore? Don't you need a vision of a goal beyond the horizon and a strategy for getting there? But you don't seem to have either a vision or a long-term strategy."

"No, you're quite right. As we mentioned earlier, before 1970 the Bank had a special department staffed by highly qualified personnel who collected material for the formulation of visions and strategies. This department was closed down immediately and since then we have not concerned ourselves with what are conventionally called visions and long-term strategic planning."

A different approach

"But can you really work like that? Isn't it just drifting with the wind?"

"No, of course you shouldn't do that. But let's sit down and, without getting bogged down in conventional ways of thinking, try to consider without any preconceptions the problems and tasks a company leader faces and has to solve."

Firstly, we can see that in conventional planning we think only in annual terms. The annual report is the great event that we concentrate on. During the centuries when we lived in an agricultural economy that was the natural thing. All economic activity was controlled by the sun and the earth's movements in relation to the sun. During its orbit our planet gave us day and night, short working days in the winter and long ones in the summer. It gave us the seasons that controlled what we should do at different times of the year. But today hardly 2% of the population are employed in agriculture, forestry and fishing. For the great majority work goes on all the year round and to a large extent even all round the clock, even though the seasons have not entirely lost their importance. In actual fact the production of goods and services takes place as a never-ending flow.

I believe it is vital to see things in this light and realise that a company manager's task is to try to influence this flow, as it is here and now: get it to flow a little faster and in a slightly larger volume, for example. When we think in terms of annual reports and annual budgets we cut up this flow into yearly pieces and look at each piece separately, which is unrealistic. Owing to conventions and legislation we are obliged to submit annual reports, but the less we interest ourselves in them and instead concentrate on the central task of doing something about what is going on right now, the better the results will be. All this talk about production flow may seem self-evident and almost banal, but is has important consequences for the way in which a management team acts and how it deals with the problems it faces.

When I became Managing Director of Sundvallsbanken 40 years ago, I had no practical experience of running a company in a market economy and even less knowledge of the way a bank is run. So I found it only natural to read the customary books on business management to find out how to tackle the task. What I found there was natural and self-evident for an academic. It was a matter of analysing a complex of problems, and in the first place getting a picture of the market in which the company operated, its structure and potential, who the competitors were, what policy they followed and their strengths and weaknesses. After charting the territory in this way, the next step was to analyse one's own company and its own strengths and weaknesses. On the basis of this information it was then necessary to work out a strategy for the way the company should move forward in the terrain towards the vision that lay on the horizon.

During this voyage through the textbooks I wrote quite a few memoranda that were very like the thick reports I later had to study as a member of the board of directors of various Swedish companies. These great piles of paper formed the basis for discussions lasting several days at some conference hotel, where, together with the Managing Director and other executives, we were supposed to discuss the company's problems and long-term strategy in peace and quiet.

These analytical exercises were useful for me personally since they taught me a good deal about the conditions for running a bank. They also led to our carrying out a number of market studies that were useful and valuable. The members of the management team listened to my ideas with the respect that non-academics often show for academic texts. I had expected that my thoughts would provide a starting point for stimulating seminar-like discussions in which we worked our way towards a long-term strategy for the Bank. But there was little interest in such discussions. They seemed remarkably uninterested in my arguments. In contrast, we had lively discussions all the time about how we should tackle the practical problems that kept popping up in a never-ending stream.

Although the analytical studies had been useful to me, I gradually got the feeling that there was something fundamentally wrong with this way of tackling problems. When making an academic analysis one starts with a blank page, so to say, on which one puts down, on the basis of what has been discovered about the company's situation and potential, the policy and strategy that ought to be pursued. At the starting point everything is possible. But that is not how it is in real life. For a functioning company a large number of possibilities are uninteresting; and the time factor can decisively limit other options. To begin with, there are large fixed and inflexible resources in the form of machinery, offices and plant. Another sluggish area comprises the personnel and their experience and knowledge, as well as computer programs, traditions and the internal network that holds the company together. Then there is the external network in the form of relations to customers and customer groups, to government authorities, to competitors and so on. All this makes a large and slow-moving mass of assets and possibilities, but also of limitations. A company can be compared to a vast herd of buffalo that moves across the plain, following its leader and kept together by its herd instinct. In the case of the Bank, this instinct is our "philosophy".

The task of the company managers is to hold this mass of resources together and make sure that it does not lose power or direction. It is also up to them to constantly ask themselves if the direction in which they are moving is the right one or if they should try to change course in one way or another, remembering all the time that it is like steering a supertanker. Changes take time and happen slowly. The management must constantly consider whether the product range has the right mix; whether certain activities should be closed down and others developed. New opportunities emerge all the time. What should be invested in and, not least, what should not be invested in? Holding continuous discussions about the course and making adjustments as conditions change, new obstacles emerge and new horizons open up – this is what a company leader should focus on.

The reason why I have often found discussions about the company's visions and long-term strategy uninteresting and soporific is that they have been irrelevant to current developments. Even if we knew that in 15–20 years the demand and the competition we face today would be quite different and require a different production and marketing system, there is little we could do about it today. If we had adapted our activities to the future situation today, we would have been in real trouble. The problem for us was to make sure that the company kept going this year and next year, too.

Even if we at the Bank had known in 1980, which we certainly did not, that the property market would collapse ten years later, that could not have affected our current credit policy very much. Not until the end of the 1980s would that knowledge have been of vital interest. There are many such examples. It is important to be on the spot in good time, but to be too early or, even worse, to be at the wrong spot is fatal.

Naturally enough there are times when situations occur that require dramatic and rapid action. These are situations where a company decides to sell off or close down considerable parts of its activities; or it discovers that it is on the totally wrong track and needs to change course completely. The reason for this kind of action is often that the wrong decisions were taken in the past; the activities were not checked continuously but were left to run on without the necessary reassessments. People have woken up far too late to find out that they lost their way a long time before. It might also be the result of starting up a completely new activity or merging with another company. But situations like this are rare.

If the task of the company management is seen in this light and if what has already been said about the possibilities of making predictions – forecasts – is taken into consideration, conventional discussions about strategy and future planning seem uninteresting and a waste of time. They are something that distracts attention from what is important – the ceaseless navigation of the ship through a rock-strewn fairway when the captain must never leave the bridge.

A natural feature of a company policy of this kind is what is usually called "trial and error". In order to make quick progress one avoids extensive investigations and instead tests ideas on a limited scale. If there are no fixed plans and strategies, it is also easier to avoid falling into the trap of "throwing good money after bad". This is, in fact, a fairly common habit among company managers, because it is painful to reassess what has been decided and is already being carried out. It hurts to accept that one has made a mistake and lose prestige in the eyes of oneself and others. That is why great efforts and large sums of money are invested to save the situation in the hope that "things will turn out all right in the end".

The method of leading a company described above is very different from what one reads in the current textbooks and also from the eloquent declarations of long-term plans, visions and strategies that are printed in company reports and delivered – with many diagrams on overheads – at press conferences. However, what one says is one thing and what one does another. The Gothenburg School of Economics has studied the latter, analysing how successful company leaders actually work; it has discovered that, regardless of what they say, they act in practice more or less as I have described above. Hans Werthén, the creator of the modern Electrolux Group, often said: " It's a question of parrying, not planning." He saw strategic plans as an expensive luxury, only benefiting the consultants who made them.

Another outstanding company leader who has expressed similar opinions is Peter Straarup. Straarup is Managing Director of Den Danske Bank (DDB) and has been involved for many years in making it a very successful bank. In a lecture at a Scandinavian press seminar in April 1998 he said: "Den Danske Bank is a major company with no strategic planning and no department for strategic planning". He then developed his scepticism of long-term planning, which has no point since the world changes so fast and is unpredictable. He related how the bank had recently acquired Denmark's largest life insurance company, which was regarded with admiration as the expression of a long-term strategy. But according to him that is not at all what it was. It was in fact an example of quickly and determinedly utilising an unexpected situation.

A few practical examples

If one has a management philosophy of the kind described above, it is easy to imagine that new opportunities can appear all the time. Then it is important not only to be mentally prepared but also to have the material resources needed to seize the opportunity in mid-air. You need to keep your powder dry!

One man who acted in this way was Gerard Versteegh, whom I met when I joined Sundsvallsbanken in the 1960s. He was the owner of Graningeverken and Managing Director of the company. Graningeverken was a traditional forest-industry company that, under his leadership, had been very successful in investing in the electric power industry. To my surprise I discovered that Graningeverken had $ 1 million on its current account at the bank year after year. At the time these accounts paid no interest. This was a very happy arrangement from the bank's point of view; in fact, this deposit more than financed our little branch office nearby. In the course of time I got to know Gerard Versteeg and I asked him discreetly about his reasons for arranging the company's finances in this way. After all, it was a very large sum of money, corresponding in current values to about $ 10 million. He replied that in his experience he had benefited greatly from being able to produce a large sum of money in cash without delay and without having to ask anybody's permission when a business opportunity arose. He gave me a number of examples of how well this policy had served him and his company. In his case it was a matter of buying rights to waterfalls and electricity distribution networks. His story stuck in my mind.

Handelsbanken's acquisition of Stadshypotek mentioned in the Introduction is a good example of the advantage of being able to act rapidly and pay cash.

In the mid-1960s banks all over the world began to invesquestion since it would have made co-operation impossible. The strict currency regulations had also been an obstacle for many years.

It was in the mid-1980s that this new situation emerged. By that time we had been operating the Bank in Sweden according to our special model for more than 15 years. Year after year we had achieved results that were better than our competitors and we were now quite convinced that this was the model we should keep to. If it worked so well in Sweden, it ought to be possible to transfer it to Norway, Finland and Denmark since the legislation, traditions, cultures and languages there were so similar. So we decided to try to start banking operations in these countries and run them exactly as we did at our own offices in Sweden. A natural start was to buy a small bank in some other Scandinavian country. We looked around and an opportunity arose in Norway, where we bought Oslo Handelsbank in 1989. Even though we found that the differences between the Scandinavian countries were greater than we had thought, this investment turned out to be very successful. Gradually we built up an extensive business in the 1990s in Norway, Finland and Denmark. Our model has worked excellently in all these countries.

In view of this and the other experiences we had had of operating banks in various parts of the world it seemed natural to revive an old idea and ask ourselves whether our special way of running a bank might be of interest to Englishmen, for example. This proved to be the case and we now provide banking services for English customers in accordance with our model in eight towns in England.

I believe that the above is a rather good example of how a trial-and-error strategy works in practice. You feel your way, get experience and modify the original idea. Some investments are not interesting at the beginning, but then circumstances change, making a different kind of investment possible, which in this case meant returning to a previously rejected alternative.

As I have already mentioned, I have met the prophesy that *the death of bank branch offices* is imminent time and time again during my long life as a banker. But there has been and still is plenty of time to think twice and make gradual adjustments. These offices are the central units in our organisation and so far we have not seen any reason to alter it; quite the reverse, we feel it functions excellently. On the other hand, as already mentioned, there have been very great changes in the forms of work.

As a result of computerisation a great deal of the manual work has disappeared at the same time as the personnel have got access to more and better information faster than before. The classical job of receiving money and giving out money has gradually decreased in importance, which means there is less need to be easily accessible on the ground floor of the high street. Such offices are very expensive. When, some years ago, we opened an office in a small town in southern Sweden, we asked ourselves whether we could do away with counter services and thus not need premises on the ground floor; instead we moved the advisory and credit-granting functions upstairs. After we had been working like this for a while, however, we discovered that we were before our time, so we had to eat humble pie and move back downstairs. Since then however, there has been a change in the environment that may reactivate the idea.

In the late 1960s bank robberies began to occur, something that up to then had been very unusual in Sweden. The Bank Inspectorate took up the problem and the banks were obliged to make counters bullet-proof and construct devices that made it more difficult for the robbers to get behind the counter. We were rather against these changes since they made the working environment less pleasant and obstructed contact with the customers. These devices scared off a few chance robbers who stumbled drunkenly into offices in the hope of improving their finances with a few threatening words. But this type of robbery was relatively speaking not very serious. The devices did not help, however, in cases of more professional, well-planned and often violent robberies, which became more and more common. This has led to measures like dyeing stolen notes to make the money robbers take less usable. Violent robbery has also been extremely stressful for the personnel that suffer it. One radical measure to stop these robberies is to do away with counter services and introduce controls like those that jeweller's shops have had for many years. We have taken this step for some particularly threatened offices. The situation has been helped by developments in the retail trade, where payment by card is now preferred to cash payment to avoid having large quantities of cash that have to be taken to the night box of a nearby bank at the end of the day. So it might be time now to reconsider offices at street level, which would reduce costs for the local branches. The difficulty of getting a bank vault upstairs is an obstacle, however.

It is not only that the work of branch offices has been changed by the introduction of computers; to an increasing extent the personnel have also become marketing agents for centrally produced products like life and pension insurances, unit trusts, leasing and simple, standardised forms of credit.

Behind our concept of the great value of a network of local branch offices lies not only the importance of close contact with the market but also faith in the importance of trusting and personal meetings between people. People's financial situation is not so important as their health, but nearly so. A good banker should have the same sort of qualities as a good general practitioner or district nurse. The branch office is the natural operational base of these men and women.

In the 1980s it became fashionable internationally to merge banks and insurance companies into financial giants that could be "financial department stores". This idea caught people's fancy and the fashion came to Sweden, too, at the end of the 1980s. The management of Gota Bank, a medium-sized bank that later collapsed, represented what were seen to be the new, progressive ideas in banking. They led the field.

Later other mergers followed in their tracks. We sat down and gave the matter a great deal of thought. Our conclusion was that pensions and life insurance were in fact nothing else but traditional saving in a bank but with another label; regular and long-term saving of this type had long been specially favoured in respect of taxation. This was a product that fitted nicely into our range.

Property and liability insurance, that is, of cars, houses, factories, aeroplanes and the like, was something quite different. It required another type of risk assessment than we had experience of and an extensive claims adjustment service that would not fit in at all with the work at our offices. Thus we should abstain from that kind of insurance.

As a result of these thoughts, we were interested in making closer contact with a small company that only dealt with life insurance. In early 1996 it became possible to enter into co-operation with a company of this type called RKA. We gained experience – and then came the bank crisis and the banks as well as the insurance companies got into considerable difficulties. However, we had kept our powder dry and were able to considerably deepen our co-operation with RKA. In the end it became a wholly-owned part of the Bank. Ten years later we acquired a large pension business from a leading insurance company. Today we operate the second largest pension and life insurance business on the free part of the market in Sweden. Another example of the step-by-step principle.

As already mentioned, every company has at any moment a historically determined *product range and set of customers.* Both the product range and the customers are the result of more or less conscious decisions made in the past while at the same time they are each other's mirror images to a great extent. The question every management team has to ask itself, or at least should ask itself, is if their product range and customers are the most economical solution or if they should be altered in one direction or another. To be able to answer such questions it is necessary to calculate the profits not only for various products but also for various customers. As I have already described, we devoted a good deal of time and effort in the 1970s to constructing methods for such calculations to give ourselves a basis to work on.

A common rule of thumb is that 20% of the customers account for 80% of the income. We found that this rule was also applicable in our case, even though it was rather a matter of 10 and 90. Thus a small proportion of our customers were reasonably profitable while the large majority were not so – or were even unprofitable. This insight led of course to efforts to achieve better results. However, one is not often in a position to be able to improve profitability by removing certain products from the range or by asking certain customers or types of customers to find another supplier. The reason is that there are many connections, among both products and customers, that make a radical policy like this rather unsuitable. What happens in reality is a gradual and cautious shift in the main focus. In a strongly decentralised organisation this is something that takes place all the time and is dealt with by the office managers and the management of other units. Thus the analyses that we carry out in this field have considerable consequences for the Bank's long-term future results. However, the aim is not to achieve a certain type of structure in five or ten years' time; what we are striving for, on the basis of the present-day situations, is to move in the direction that will give us greater profitability. It may very well be that in ten years' time the optimal structure will look quite different from what it is today, but this is something we cannot know anything about, so we do not waste time worrying about it.

In this case, too, it is a matter of cautiously feeling our way forward.

9. Our philosophy

This book is based on the concept that there are basic human needs of a timeless character, unchanged for thousands of years, and that, when organising a company, this should be the starting point. This belief led me to conclude that organisations should be made as decentralised as possible. An organisation of this kind also makes it possible to achieve a high degree of efficiency in production and marketing.

Thus the principle of decentralisation is central and it is from this starting point that Handelsbanken's organisation is constructed. When constructing an organisation, your outlook on the people who together make up the organisation plays a vital role. The outlook on human nature that characterises the organisation of the Bank may be summed up in the words trust and respect.

Most of this book describes how we have built up our organisation on the basis of these starting points; what it looks like and how the people who work in it tackle various kinds of questions and problems; what goals the Bank has and how the management determines and revises the course by degrees.

Decentralising is a long and difficult process. You will meet continuous and obstinate resistance from various parts of the old organisation. It is also a very time-consuming process. It takes time ro create a steering system that is suited to the new organisation and to train the employees to deal with the increased responsibility they are given. It is also important to get them to accept the new ways of working and to make the transition as smooth as possible so that relations with the customers are not disturbed.

Decentralisation requires a strong conviction in the management and firm leadership. The pressure must be kept up, otherwise the process will go into reverse. It is so easy to centralise.

The decisive factor is to avoid steering systems that lead to centralisation. The budget, the wholly dominant steering device, is an instrument of this kind. It should be abolished. This is not merely because it is incompatible with decentralisation but also because it is a steering instrument that demands great work input but does not lead to anything more than uninteresting or at times dangerous results.

The principle of decentralisation has been the lodestar of the Bank's activities for more than 30 years. During the whole of this period, which is notable for great changes in the external circumstances in which the Bank operates, the company has had a very good level of profitability, higher in fact than any other bank on its markets. Thus the success of our methods would seem to meet the medical demands of "scientific and tested experience".

In view of these arguments one might well expect that there would be many companies that had in practice accepted the principle of decentralisation, especially as this has long been preached as an ideal to strive for. In Sweden this message had its heyday in the mid-1980s, when it was part of the established company vocabulary. Annual reports, personnel and management policies and the like had to include powerful declarations of the decentralisation ideal that the company was striving for. "Tear down the pyramids" became something of a battle cry.

In the agreement on development reached between the Swedish Trade Unions, the Employers' Federation and the Confederation of Salaried Employees in 1986, it was also agreed that an important goal was the encouragement of decentralisation in working life. Ever since the 1940s the government had also repeatedly declared that public administration should be decentralised.

Nowadays such confident declarations have become more rare and there are few examples of decentralisation in companies in the sense this book presents. The simple explanation is that, when words had to be translated into action, the will was lacking.

On the other hand, decentralisation of another type based on other premises has won wider acceptance. The ICA food store chain, in which the members have considerable freedom of action, has taken large market shares from the more centralised Co-operative movement. Franchising, outsourcing and sub-contracting systems, which all place responsibility and decision-making to a greater or lesser extent on the local level, have also increased greatly.

When business management experts describe how companies function, they naturally enough look first at organisation diagrams, written instructions and authoritative statements by the management. It often turns out, however, that this is not enough to explain how the employees in a company deal with various issues. To do this it is necessary also to consider the "culture" that characterises a company.

The meaning of this term is often vague and wide, which does not, however, prevent it from being something significant.

It can be a factor that is close to well-established military practice. In such cases the trademark is not merely an outward symbol but also an inward one. Like a regiment's banner, it is something to rally round, fight for and keep flying high. There are in fact companies that begin the day by singing the company song, just as I did as a conscript in my regiment.

The management of these companies may not issue orders of the day to prepare the troops for battle, but instead play a video recording of a powerful address by the Managing Director which fulfils the same purpose.

In other companies the "culture" has a different meaning comprising certain common sets of values. In any event, the term refers to something vital that is of great significance, in the case of Handelsbanken as well.

For me, however, the concept of "culture" sounds like something that is added last of all to provide a complete explanation of how the employees in an organisation deal with various issues. So in our case I feel that the term "philosophy" is more appropriate.

By our philosophy I mean the principle and the outlook on human nature that forms the foundation of the organisation we have built up. How we act in certain situations is then the logical consequence of this central idea and basic sets of values. To these must be added our practical experience and the attitude we have to the management of various issues. This attitude may be characterised by phrases such as "down to earth", "pragmatic" and "little respect for what experts say". The issues are judged according to their merits and without any sidelong glances at what is in fashion just at that moment. We go our own way and feel secure in what we do.

When one of the Bank's highest executives recently retired after working for 25 years at the Bank, he expressed his view of the mental environment in which he had worked as follows:

His starting point was a scene in Shakespeare's play "Henry V". After his victory at Agincourt the king has become heir to the throne of France, and to strengthen his position he persuades Catherine, the daughter of the king of France, to marry him. After she has said Yes, he tries to kiss her. A French lady-in-waiting points out that that is not allowed until after the wedding. Henry replies " We are the makers of the manners " and kisses Catherine.

The executive claimed that this reply reflected very well how he felt about being one of Handelsbanken's employees: proud, independent, secure. This was his way of expressing an important feature of our philosophy, an attitude that was reinforced, of course, by the Bank's successes for decade after decade. An important factor in this connection is, of course, the fact that the Bank has as it main owner an institution, Octagon, that is competent, active, stable and above all really long-sighted.

Reality is shaped by all the small, daily decisions that are taken at various levels in a company. What is decisive for their result is the "spirit" in which they are reached, and in our case that they take place in the spirit of our philosophy.

I was once on the board of a large company whose management declared on various occasions that it had decentralisation as its principle. The external expression of this was that various parts of its activities had been placed in separate companies, with their own accounts and board. In reality, however, the company was strongly centralised, which was the result of leading executives, following their own good judgement, not being able to "keep their hands to themselves". Being able to resist the temptation to interfere is an important part of our philosophy.

Another very significant feature that has not been mentioned in this book so far is the Bank's outlook on the importance of leadership. In our opinion it is of decisive importance to succeed in picking people with good leadership qualities for leading posts. In our case there are at least a thousand or so such posts.

Natural leaders are unfortunately in short supply, nor is it easy to assess how well a candidate will manage his or her future duties. Anyone who has been involved, as I have, in making many managerial appointments, will know that it is a humbling experience. I tried to work out in how many cases I had been involved, in various companies, where I had a decisive influence and hence responsibility. If I restrict myself to posts at the Managing Director and Deputy Managing Director level, I arrive at almost 80. Some 20 of these concerned moving people out. I then asked myself how many of the remaining appointments had not led to what we expected, and the answer was about one third, which is not the same as to say they were all clear failures. Many of them seemed to cope rather well, but they were not the top persons we thought we had found.

Psychological tests are all very well, but I have never come across a really reliable method. The safest grounds for assessment, in my opinion, are obtained by studying how the candidate has managed less demanding duties. In a strongly decentralised organisation like our own there are good opportunities of using this kind of test. Our employees are gradually given opportunities to take on increasingly demanding duties.

It is a vital part of our philosophy to use internal recruitment when appointing senior executives. This means that a large number of these executives have imbibed our philosophy with their mother's milk, so to say, which is a clear advantage.

If the Bank really had the right man or woman in all the senior posts, it could count itself lucky. Of course this is not the case, which is shown by the less than satisfactory results of certain activities and not least by trouble and conflict at work. The staff quite simply feel ill in such circumstances. There are many possible types of problems at workplaces but the most serious one of all is poor leadership. It has to be dealt with.

Personally I do not believe in solving such problems by holding leadership courses, carrying out reorganisations or the like. If a person lacks leadership qualities, the solution is to move him or her to another post that does not make such demands. Normally they are very competent and hard-working people who can do a good job in other ways.

It is a difficult task to have to tell someone that he or she is not good enough, not least if you yourself have been involved in appointing them. But considering the welfare of the people who are daily exposed to this poor leadership, it is a superior executive's responsibility and duty to have such discussions and make such decisions. This, too, is a part of our philosophy.

As I write the last few lines of this book, the sun is shining through the high windows onto the floor of my living room. It is one of those really warm days this summer, of 2002. The lawn is an intensive green and one of my youngest grandchildren is lying reading in the shade of the big garden umbrella. How she has grown! This afternoon she is going in to the Old Town in Stockholm to work at her summer job. Like so many others, I am surprised how strongly I have experienced the tantalising spring and the gloriously luxuriant summer – stronger than ever, though I have seen them so many times. I have experienced this feeling for 82 springs and summers now, though the first few without really noticing them.

So I have been in the game for many, many years. This means that the experience I have gained and that I have related in this book lies in many cases 20, 30 or even 40 years back in time. Even longer in a few cases. So for many of my readers this book deals with events that took place before they were even born. Can an account like this really be anything but an old man's uninteresting pondering for the young generation? Has it really anything worth saying to them? I hope and believe so, since the theme of this book is that the foundations of the organisation of human activity are of a timeless nature. An old man who can look back over a long period of time may find it easier to see this.

What I have written in this book is a summary of my experiences as a manager during a long life. There are many people who, consciously or unconsciously, have influenced what I have written – collaborators, colleagues, competitors and academics. Some of them have helped me by reading and commenting on the manuscript. Most of them are unknown to foreign readers.

I would, however, like to mention two names.

Lars O. Grönstedt, the present CEO of the bank, who not only has helped me with the text but is the person who, day in, day out, is furthering the ideas described in this book.

The second person is my wife Birgitta. What I write and how I write are in many important ways influenced by her. During our more than 20 years together she has taught me a great deal about human nature and changed my views on many things.

THIS BOOK DESCRIBES a way of leading and organising a company which is radically different from that practised by most companies.

The starting point is that there are certain timeless human demands that should be met by any organisation. This will lead to organisations that are radically decentralised. The fundamental principle of decentralisation was put to the test when Handelsbanken was completely reorganised 33 years ago. The head office was cut down by a third and (among other things) all budgeting and long-term planning work was abandoned.

Since then the external circumstances in which banks have to operate have varied very much. Handelsbanken has, however, always followed the same basic principles in its work and by doing so has been extraordinarily successful.

In this book you will find a description of the ideas behind the principles and a detailed account of how such a different organisation functions.

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